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Report No: PAD4373

INTERNATIONAL BANK FOR RECONSTRUCTION AND DEVELOPMENT

PROJECT APPRAISAL DOCUMENT

ON A

PROPOSED LOAN

IN THE AMOUNT OF US\$ 105 MILLION

TO THE

REPUBLIC OF PARAGUAY

FOR A

ASUNCION RIVERFRONT URBAN RESILIENCE PROJECT

Urban, Resilience And Land Global Practice
Latin America And Caribbean Region

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CURRENCY EQUIVALENTS

Exchange Rate Effective Oct 1, 2022

Currency Unit= Paraguayan Guaranies (PYG)

PYG 7,118.45 = US\$1

FISCAL YEAR

January 1 - December 31

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ABBREVIATIONS AND ACRONYMS

AMA	Metropolitan Area of Asuncion (<i>Área Metropolitana de Asunción</i>)
CAF	Development Bank of Latin America
CBO	Community-based Organization
CEDELIS	Center for Local Economic Development and Social Innovation (<i>Centro de Desarrollo Económico Local e Innovación Social</i>)
CPF	Country Partnership Framework
DA	Designated Account
DCP	Public Credit Directorate (<i>Dirección de Crédito Público</i>)
ESF	Environmental and Social Framework
ESMF	Environmental and Social Management Framework
FM	Financial Management
GBV	Gender Based Violence
GDP	Gross Domestic Product
GRS	Grievance Redress Service
IADB	Inter-American Development Bank
IRR	Internal Rate of Return
LED	Local economic development
MAMSL	Meters Above Mean Sea Level
MCA	Municipality of Asuncion (<i>Municipalidad de Asunción</i>)
MOPC	Ministry of Public Works and Communications (<i>Ministerio de Obras Públicas y Comunicaciones</i>)
MPCA	Master Plan of the Coastline of Asuncion
MSME	Micro, small and medium enterprises
MUVH	Ministry of Urban Development and Housing (<i>Ministerio de Desarrollo Urbanismo, Vivienda y Hábitat</i>)
NDC	Nationally Determined Contribution
NDP	National Development Plan
NPV	Net Present Value
PDO	Project Development Objective
PIU	Project Implementation Unit
POM	Project Operational Manual
RAP	Resettlement Action Plan
RPF	Resettlement Policy Framework
SDGs	Sustainable Development Goals
SEP	Stakeholder Engagement Plan

SOEs	Statement of Expenditures
STP	Technical Secretariat for Economic and Social Development Planning (<i>Secretaría Técnica de Planificación del Desarrollo Económico y Social</i>)
UNDP	United Nations Development Programme
UTGS	Social Cabinet (<i>Unidad Técnica del Gabinete Social</i>)
WAs	Direct Payment and Reimbursement Withdrawal Applications
WBG	World Bank Group

TABLE OF CONTENTS

DATASHEET.....	1
I. STRATEGIC CONTEXT	7
A. Country Context	7
B. Sectoral and Institutional Context.....	8
C. Relevance to Higher Level Objectives.....	11
II. PROJECT DESCRIPTION	13
A. Project Development Objective	13
B. Project Components	13
C. Project Beneficiaries	17
D. Results Chain.....	18
E. Rationale for Bank Involvement and Role of Partners.....	19
F. Lessons Learned and Reflected in the Project Design	20
III. IMPLEMENTATION ARRANGEMENTS	21
A. Institutional and Implementation Arrangements	21
B. Results Monitoring and Evaluation Arrangements	22
C. Sustainability	23
IV. PROJECT APPRAISAL SUMMARY	23
A. Technical, Economic and Financial Analysis.....	24
B. Fiduciary.....	27
C. Legal Operational Policies	28
D. Environmental and Social	28
V. GRIEVANCE REDRESS SERVICES	29
VI. KEY RISKS.....	30
VII. RESULTS FRAMEWORK AND MONITORING	32
ANNEX 1: IMPLEMENTATION ARRANGEMENTS AND SUPPORT PLAN.....	41
ANNEX 2: DETAILED PROJECT DESCRIPTION	53
ANNEX 3: GENDER ACTION PLAN	62

DATASHEET

BASIC INFORMATION

Country(ies)	Project Name	
Paraguay	Asuncion Riverfront Urban Resilience Project	
Project ID	Financing Instrument	Environmental and Social Risk Classification
P175320	Investment Project Financing	Substantial

Financing & Implementation Modalities

☐ Multiphase Programmatic Approach (MPA)	☐ Contingent Emergency Response Component (CERC)
☐ Series of Projects (SOP)	☐ Fragile State(s)
☐ Performance-Based Conditions (PBCs)	☐ Small State(s)
☐ Financial Intermediaries (FI)	☐ Fragile within a non-fragile Country
☐ Project-Based Guarantee	☐ Conflict
☐ Deferred Drawdown	☐ Responding to Natural or Man-made Disaster
☐ Alternate Procurement Arrangements (APA)	☐ Hands-on Enhanced Implementation Support (HEIS)

Expected Approval Date	Expected Closing Date
15-Nov-2022	29-Dec-2028

Bank/IFC Collaboration

No

Proposed Development Objective(s)

The project development objectives are to improve living conditions for targeted vulnerable households and to increase resilience in selected areas in the riverfront of Asunción.

**Components**

Component Name	Cost (US\$, millions)
Eco-Inclusive District	52.00
Climate Resilient Public Spaces and Green Areas	39.00
Social Resilience, Local Economic Development, and Citizen Engagement	6.00
Institutional Capacity Building for Urban Resilience and Project Management	7.74

Organizations

Borrower:	Republic of Paraguay
Implementing Agency:	Ministry of Public Works and Communications (MOPC)

PROJECT FINANCING DATA (US\$, Millions)**SUMMARY**

Total Project Cost	105.00
Total Financing	105.00
of which IBRD/IDA	105.00
Financing Gap	0.00

DETAILS**World Bank Group Financing**

International Bank for Reconstruction and Development (IBRD)	105.00
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Expected Disbursements (in US\$, Millions)

WB Fiscal Year	2022	2023	2024	2025	2026	2027	2028
Annual	0.00	2.48	9.40	28.02	34.70	30.40	0.00
Cumulative	0.00	2.48	11.88	39.90	74.60	105.00	105.00



INSTITUTIONAL DATA

Practice Area (Lead)

Urban, Resilience and Land

Contributing Practice Areas

Social Sustainability and Inclusion, Water

Climate Change and Disaster Screening

This operation has been screened for short and long-term climate change and disaster risks

SYSTEMATIC OPERATIONS RISK-RATING TOOL (SORT)

Risk Category	Rating
1. Political and Governance	● Moderate
2. Macroeconomic	● Moderate
3. Sector Strategies and Policies	● Moderate
4. Technical Design of Project or Program	● Moderate
5. Institutional Capacity for Implementation and Sustainability	● Substantial
6. Fiduciary	● Substantial
7. Environment and Social	● Substantial
8. Stakeholders	● Substantial
9. Other	
10. Overall	● Substantial

COMPLIANCE

Policy

Does the project depart from the CPF in content or in other significant respects?

☐ Yes ☒ No

Does the project require any waivers of Bank policies?

☐ Yes ☒ No



Environmental and Social Standards Relevance Given its Context at the Time of Appraisal

E & S Standards	Relevance
Assessment and Management of Environmental and Social Risks and Impacts	Relevant
Stakeholder Engagement and Information Disclosure	Relevant
Labor and Working Conditions	Relevant
Resource Efficiency and Pollution Prevention and Management	Relevant
Community Health and Safety	Relevant
Land Acquisition, Restrictions on Land Use and Involuntary Resettlement	Relevant
Biodiversity Conservation and Sustainable Management of Living Natural Resources	Relevant
Indigenous Peoples/Sub-Saharan African Historically Underserved Traditional Local Communities	Not Currently Relevant
Cultural Heritage	Relevant
Financial Intermediaries	Not Currently Relevant

NOTE: For further information regarding the World Bank's due diligence assessment of the Project's potential environmental and social risks and impacts, please refer to the Project's Appraisal Environmental and Social Review Summary (ESRS).

Legal Covenants

Sections and Description

Section I.A.3 of Schedule 2 of the Loan Agreement. The Borrower, through MOPC, shall, no later than sixty (60) days after the Effective Date, hire or appoint, as applicable, the following additional staff as part of the PIU: (a) a procurement specialist; (b) a planning and monitoring specialist; (c) a financial management specialist; (d) a social specialist; and (e) an environmental specialist; all with qualifications, experience and terms of reference satisfactory to the Bank, as set forth in the Operational Manual.

Sections and Description

Section I.A.4 of Schedule 2 of the Loan Agreement. Prior to the carrying out of any of the works under the jurisdiction of MCA, the Borrower, through the MOPC, shall enter into a tripartite agreement with MCA and MUVH, under terms and conditions acceptable to the Bank, which shall include, inter alia, the obligation of MCA and MUVH



to cooperate with Borrower, through MOPC, for the carrying out of the Project.

Sections and Description

Section I.A.5 of Schedule 2 of the Loan Agreement. The Borrower, through MOPC, shall, not later than three (3) months after the Effective Date, establish, and thereafter operate and maintain at all times during Project implementation an inter-institutional technical committee (the “Technical Committee”), with functions and responsibilities acceptable to the Bank and with staff in numbers and with qualifications and experience acceptable to the Bank, as described in the Operational Manual, including the responsibility of coordinating the carrying out of Project activities and investments among public utilities and other agencies involved in Project execution.

Sections and Description

Section I.A.6 of Schedule 2 of the Loan Agreement. The Borrower, through MOPC, shall: (a) no later than 3 months after the approval date of the first Grant to finance a Social and Economic Development Initiative (unless the Bank establishes a later date by written notification to the MOPC), hire an independent auditor with experience and qualifications acceptable to the Bank, for purposes of carrying out audits of Grants on a semi-annual basis (or at such other frequency as the Bank shall establish by notice to the Borrower) in accordance with terms of reference set forth in the Operational Manual, and consistently applied auditing standards, all acceptable to the Bank; and (b) not later than 45 calendar days after the completion of each said audit, furnish or cause to be furnished to the Bank the information as so audited, and such other information concerning the audited information and such auditors, as the Bank may from time to time reasonably request.

Sections and Description

Section I.B.1 of Schedule 2 of the Loan Agreement. Social and Economic Development Initiatives. For the purposes of carrying out a Social and Economic Development Initiative under Part 3.1(d) of the Project, the Borrower, through MOPC, shall, prior to the carrying out of any given Social and Economic Development Initiative, transfer, on a grant basis, part of the proceeds of the Loan to the corresponding Beneficiary, pursuant to the terms of an agreement to be entered between MOPC and the pertinent Beneficiary, under terms and conditions acceptable to the Bank and substantially similar to those in the model form of Subgrant Agreement.

Conditions

Type Effectiveness	Financing source IBRD/IDA	Description Section 4.01 (a) of Article IV of the Loan Agreement. The Operational Manual has been prepared and adopted by the Borrower, through MOPC, in a manner acceptable to the Bank.
Type Effectiveness	Financing source IBRD/IDA	Description Section 4.01 (b) of Article IV of the Loan Agreement. The Environmental and Social Management Instruments have been prepared, consulted upon, disclosed and adopted in form and substance satisfactory to the Bank.





I. STRATEGIC CONTEXT

A. Country Context

1. **Paraguay has been characterized by relatively solid economic growth and poverty reduction in recent years, however the COVID pandemic and recent droughts are likely to lead the country into a third economic contraction in the last four years.** Even though there was a well-coordinated monetary and fiscal stimulus, including expansions of cash transfers to help minimize the adverse impact of the pandemic on households, poverty increased from 23.5 percent in 2019 to 27 percent in 2020.¹ In 2021 after two years of recession, the economy recovered with GDP growth of 4.2 percent and a decline in poverty to 20.8 percent.² The Gini coefficient declined from 45.7 to 42.9 between 2019 and 2021, reflecting income reductions for top-earning households and social transfers to the lowest-earning households during the pandemic. However, GDP growth is expected to slow down in 2022 because of the drought that is dampening commodity exports and private consumption.³

2. **Paraguay's poorest and those living in urban areas are particularly exposed to the economic fallout from the COVID pandemic, adverse climate developments, and global uncertainty.** These events resulted in rising food and fuel prices that led to a 6.8 percent increase in inflation in 2021 (up from an average of 2.2 in 2020)-the fastest pace in a decade. It is expected to be even higher in 2022 (8.9 percent).⁴ Higher inflation hinders poverty reduction, especially for those at the lower end of the income distribution. As a result, the poverty rates are estimated to reach 21.49 percent in 2022. The impacts of the pandemic have been particularly detrimental to those in vulnerable situations who lack or have limited access to health and other social protection services.⁵ High-Frequency Surveys carried out by the Bank between June and August 2020 show that more than 60 percent of households had a drop in income by at least one member, 38 percent had a member who lost a job, and 28 percent had at least one member who was suspended from work without pay. Women were three times more likely than men to lose their jobs during this period, which will harden the already noticeable gender gap in the labor market.⁶

3. **Paraguay is highly vulnerable to the impacts of climate change,⁷ which is projected to increase the intensity and frequency of hazards such as flooding, drought, heat waves, forest fires, and infectious diseases.** A high prevalence of social vulnerability and exposure in Paraguay can increase the risk and potential damage of natural disasters, with disproportionate effects on the well-being of vulnerable communities and women.⁸ If Paraguay were to reduce the exposure of poor people by 5 percent of total exposure to natural disasters, the country could save US\$20 million per year in well-being losses and another US\$7.4 million per year by reducing the asset vulnerability of poor people by 30 percent.⁹

¹World Bank Data (2022). Poverty Indicators

²World Bank (2021) Macro Poverty Outlook

³World Bank (2022) Paraguay Country Overview. <https://www.worldbank.org/en/country/paraguay/overview#1>

⁴World Bank (October 2022). Poverty & Equity Brief Latin America & the Caribbean

⁵World Bank (October 2020). "The Cost of Staying Healthy: Semiannual Report of the Latin America and the Caribbean Region.

⁶World Bank (February 2021) "El impacto desigual de la COVID y sus repercusiones en el mercado laboral paraguayo." Available at: https://blogs.worldbank.org/es/latinamerica/el-impacto-desigual-de-la-COVID-y-sus-repercusiones-en-el-mercado-laboral-paraguayo?cid=lac_tt_wblac_es_ext

⁷CAF (2014). Índice de vulnerabilidad y adaptación al cambio climático en la región de América Latina y el Caribe. Caracas: CAF. Retrieved from <http://scioteca.caf.com/handle/123456789/517>

⁸World Bank (2016). Toolkit for Mainstreaming Gender in Water Operations.

⁹World Bank (2017). Unbreakable: Building the Resilience of the Poor in the Face of Natural Disasters.



4. **The Paraguay River is crucial to the country's economy; however, climate change deepens the challenges related to the impact of the river on the population of the Metropolitan Area of Asunción (AMA).** While the river is currently at its lowest level since 1944 as a result of the prolonged drought in the region, in recent years, the urban population has been particularly affected by floods as a result of high river levels. The AMA is predicted to experience double the number of extreme events by 2040 due to climate change, exposing almost half of the national population to great risk.¹⁰ Urban flooding is also expected to increase as a result of increased frequency and intensity of precipitation during the wet season.¹¹ The city has limited drainage capacity and, in some places, there is no infrastructure for drainage at all. Where drainage systems are present these are often blocked by (illegal) constructions or solid waste that is not disposed of properly. Impermeabilization as a result of uncontrolled urbanization adds to the direct runoff and increased volumes of water that need to be managed.

B. Sectoral and Institutional Context

5. **About 38 percent of the Paraguayan population of over 7.1 million is concentrated in the Metropolitan Area of Asunción (AMA).** The population of AMA has grown very fast over the last forty years from 774,000 in 1980 to 2.8 million in 2021 and represents close to 76 percent of the national urban population contributing around 47 percent of the national GDP.¹² This has not been accompanied by the necessary capacity to plan and provide services to an increasingly complex and vulnerable urban landscape.¹³ The city has experienced low-density urban sprawl and an increase in informal settlements in areas at high-risk to climate change impacts, particularly along and in the natural floodplains of the Paraguay River, which runs along the city's northern and western borders. People living in informal settlements – around 18 percent of the national urban population – often lack access to formal work and/or social safety nets. Public services are often inadequate and housing quality is low: around 41 percent of the housing stock does not meet minimum standards for livability. Just over a fifth of the metropolitan population (22 percent) is connected to the sewer system,¹⁴ and most wastewater is discharged directly into the Paraguay River via open water bodies with limited or no treatment at all, putting at risk public health and the riverine ecosystem.¹⁵

6. **The social challenges in the AMA are compounded by a lack of public, green, and recreational space impeding natural drainage.** Around half of the population thinks public spaces are insufficient, poorly maintained, and/or unsafe, and many green spaces in the AMA are in states of neglect or are inaccessible. Nature reserves and other green spaces along the riverfront have been affected by improper land use, informal settlements and illegal dumping grounds, impeding their use for outdoor leisure and for natural drainage of stormwater flows from upstream catchments, exacerbating the risk of flooding.¹⁶ COVID has reinforced the evidence on the importance of urban green space, which can deliver positive health, social and environmental outcomes for all population groups, particularly among lower socioeconomic status groups.¹⁷

¹⁰World Bank Climate Change Knowledge Portal (2020). "Paraguay" <https://climateknowledgeportal.worldbank.org/country/paraguay>

¹¹Climate Risk Profile: Paraguay https://www.climatelinks.org/sites/default/files/asset/document/Paraguay_CRP.pdf

¹²IADB (2014). "Plan de Acción: Área Metropolitana de Asunción sostenible."

¹³IADB (2014). "Plan de Acción: Área Metropolitana de Asunción sostenible."

¹⁴Ente Regulador de Servicios Sanitarios (2017).

¹⁵Empresa de Servicios Sanitarios de Paraguay S.A. (2021). Diagnóstico del Sector Agua y Saneamiento. <http://www.essap.com.py/tipo/sector-agua/>

¹⁶IADB (2014). "Plan de Acción: Área Metropolitana de Asunción sostenible."

¹⁷WHO (2017). "Urban green space interventions and health: A review of impacts and effectiveness."



7. **The Historic Center, located close to the riverfront, has suffered from years of lack of public and private investment, resulting in underutilized public spaces and assets, abandoned buildings and empty lots.** From 2002 to 2012, the Historic Center lost almost a third (30 percent) of its residents, and many businesses and services moved elsewhere because of this decline. In 2014, the Municipality of Asunción (MCA) published the Master Plan for the Historic Center (Plan CHA),¹⁸ which includes initiatives to upgrade public space and improve walkability, promote densification on vacant land, and spur economic and social development in the area. However, the Plan CHA has largely gone unfunded so far.

8. **In recent years, the AMA has been particularly affected by natural hazards exacerbated by climate change.** The AMA is predicted to experience twice the number of extreme events by 2040 due to climate change, exposing almost half of the national population to great risk.¹⁹ Urban flooding is expected to increase in frequency and intensity as a result of climate change impacts like heavier rain falls during the wet season²⁰ and rising river levels, as well as limited infrastructure capacity to handle these impacts, including drainage systems that become overwhelmed by intense rainfall events and have been blocked by construction and the impermeabilization of the surface due to unplanned urbanization. The average annual loss of infrastructure in the AMA due to climate-related flooding risk could go up to US\$36.4 million by 2030.²¹ Almost one-fifth of the occupied urban land in Asunción is considered at risk of flooding or impact from other climate and environmental hazards, and of that land, 20 percent is occupied by informal settlements.²² Between 2004 and 2014, floods affected 10 percent of housing units in the AMA,²³ and in 2018, over 10,000 people sought emergency shelter due to riverine flooding.²⁴ Additionally, heat waves in the AMA are estimated to increase in frequency and duration. Maximum mean temperatures could increase to 39.1°C lasting for 3.7 days in the short term (until 2040),²⁵ resulting notably in negative health impacts, especially for vulnerable populations.²⁶

9. **The riverfront²⁷ of Asunción, which concentrates the largest informal settlements in Paraguay,²⁸ is in urgent need of improved land use planning to enhance climate resilience and living conditions.** Due to the lack of urban planning and enforcement, as well as a lack of affordable housing options, thousands of low-income families have informally settled in areas at high-risk to climate change impacts in recent decades, including in the wetlands and natural floodplains of the Paraguay River, known as *Bañados* de Asunción, home to the poorest income percentile in the city. Despite the increasing risk of climate hazards, like flooding and heatwaves, the population living in precarious conditions in the *Bañados* has grown steadily over time, almost tripling from around 40,000 inhabitants in 1993 to 115,000 in 2012, which represents around one-fifth of the municipal population of Asunción. They live in overcrowded and poor housing conditions with inadequate sanitation and limited access to

¹⁸ASunción Laboratorio Abierto. (2014) Plan Maestro del Centro Histórico de Asunción: Resumen Ejecutivo.

¹⁹World Bank Climate Change Knowledge Portal (2020). "Paraguay" <https://climateknowledgeportal.worldbank.org/country/paraguay>

²⁰Climate Risk Profile: Paraguay https://www.climatelinks.org/sites/default/files/asset/document/Paraguay_CRP.pdf

²¹IADB (2014). "Plan de Acción: Área Metropolitana de Asunción sostenible."

²²UN Habitat (2019). "Recomendaciones de Acciones para la Resiliencia y la Sostenibilidad: Asunción. Resumen Ejecutivo."

²³IADB (2014). "Plan de Acción: Área Metropolitana de Asunción sostenible."

²⁴IADB (2018) "Strengthening Urban Resilience in Riverside Asunción." Available at: <http://idbdocs.iadb.org/wsdocs/getdocument.aspx?docnum=EZSHARE-518808585-6>

²⁵IADB and IH Cantabria (2020). "Análisis del riesgo de desastres y cambio climático en el área ribereña de Asunción."

²⁶WHO (2021). "Heat Waves". https://www.who.int/health-topics/heatwaves#tab=tab_1

²⁷The "riverfront" in this Project refers to the *Franja Costera*, or the area of land that is along the coastline of the Paraguay River. This includes the Historic Center area.

²⁸IADB (2014). "Plan de Acción: Área Metropolitana de Asunción sostenible."



public services and infrastructure,²⁹ exacerbating their vulnerability to climate change impacts, natural disasters and health-related events like COVID.

10. **Predicted increases in rainfall and other climate-change-related extreme events like floods heighten the risks to lives, livelihoods, homes, and public infrastructure along the riverfront.** The riverfront municipal land occupied by the informal settlements in the *Bañados* is considered legally uninhabitable because it is below 64 meters above sea level (MAMSL).³⁰ These poorly constructed homes cannot legally be upgraded *in situ*, so the municipal government can only respond with evacuation as an emergency response to cyclical floods. On average, major flood events occur every five years and cost families between US\$1.2 to 1.5 million in temporary relocation (often for periods of up to six months) and job losses, a serious burden given the average monthly income of below US\$500 for families along the riverfront.³¹ In *Bañado Norte* alone, the average annual loss of infrastructure due to flooding risk is estimated to reach US\$4.75 million by 2040. Furthermore, floods in areas with limited sanitation like the *Bañados* can pollute water courses, carrying human waste and exposing the population to disease-transmitting vectors and water-borne illnesses.³² In January and February 2021, the AMA experienced record rainfall, causing the Paraguay River to rise by 48 cm in one day and leading to flooding and landslides that resulted in at least ten deaths and damage to thousands of homes and public infrastructure like roads and flood retention walls. Hundreds of riverfront families were forced to evacuate, and, because of a lack of emergency shelters, many set up informal shelters in public parks and plazas, creating a public backlash and costs to the receiving communities.

11. **The Government of Paraguay has been planning to address the socio-environmental degradation of the urban riverfront of Asunción for the past thirty years, but has faced interinstitutional coordination and implementation challenges.** Paraguay's national and municipal governments, marked by a low tax base and relatively low levels of efficiency and effectiveness in the state bureaucracy,³³ have struggled to respond to the rapidly evolving needs of the AMA. The MCA is dependent on the national government to undertake large-scale urban development projects. In terms of institutional and regulatory frameworks, the Government published the Master Plan of the Coastline of Asuncion (MPCA) in 1993, which has been revised on several occasions, including most recently in 2016. However, the MPCA has only been partially implemented in a fragmented manner due to financial and coordination challenges. In response, the World Bank, and several other development partners, including the Inter-American Development Bank (IADB), the Development Bank of Latin America (CAF), and the United Nations Development Programme (UNDP) have been supporting the Government to operationalize the MPCA through complementary financing and technical assistance.

12. **The World Bank has developed a close partnership with the Government to support urban planning and resilience of the AMA in recent years.** In 2018, with support from the Bank, the government developed *AsuParticipa*, an online platform to facilitate public participation and consolidate information from several urban projects from the MPCA. In 2019, the President of Paraguay, the Mayor of Asunción and the Archbishop of Asunción signed a Memorandum of Understanding to improve the coordination, spatial area planning,

²⁹IADB (2018). "Programa de Rehabilitación y Vivienda del Bañado Sur en Asunción (Barrio Tacumbú)."

³⁰Municipio de Asunción: Reglamento actual - Ordenanza N° 163/18 - Título IX: Plan regulador de la costa norte. Capítulo II. Clasificación del suelo. Artículo N° 135

³¹IADB (2018) "Strengthening Urban Resilience in Riverside Asunción." Available at: <http://idbdocs.iadb.org/wsdocs/getdocument.aspx?docnum=EZSHARE-518808585-6>

³²World Bank (2021). "Climate Risk Country Profile: Paraguay."

³³World Bank (2018). Paraguay Country Partnership Framework.



prioritization, evaluation, and public participation of the MPCA. This process is being carried out through an inter-institutional coordination body (*Mesa Interinstitucional*) created by a Presidential Decree with representatives from the MCA and five national government authorities: the Ministry of Finance, the Ministry of Public Works and Communications (*Ministerio de Obras Públicas y Comunicaciones-MOPC*), the Ministry of Urban Development and Housing (*Ministerio de Urbanismo, Vivienda y Hábitat-MUVH*), the Technical Secretariat for Economic and Social Development Planning (*Secretaría Técnica de Planificación-STP*), and the Social Cabinet. In 2020, the World Bank financed a technical assistance project to support the Government in prioritizing and consolidating existing MPCA projects into an implementable urban action plan. The technical assistance included coordination with the *Mesa Interinstitucional* to produce conceptual designs and initial cost estimates for prioritized MPCA projects, as well as a study for the design of a public management entity to oversee the medium-term implementation of the MPCA along the riverfront.

13. **Building on these engagements, and as part of the country's investment economic recovery plan, the Government has requested the Bank's support for a multipurpose, integral program to jumpstart a resilient revitalization of the riverfront of Asunción in alignment with the MPCA.** Based on experiences with urban riverfront development around the world, the proposed operation would take an integrated approach that provides opportunities for cross-sector dividends: resilience to climate change impacts and natural disasters should increase social resilience and resilience to other shocks, like the COVID pandemic. The Government has prioritized four transformational infrastructure investments from the MPCA as part of this Project, which will contribute to climate resilience by redirecting urban growth and safely resettling families at high risk of flooding into long-term housing solutions in flood-safe areas, as well as investing in low-carbon and climate resilient public spaces, green areas, and urban infrastructure. The proposed Project would aim to create an environmental, social, economic, and institutional enabling environment for medium-term riverfront regeneration and urban climate resilience. The Bank will support the government to ensure that international best practices are used to develop a public-private management model to orient future real estate investments, while mitigating the risk of gentrification and avoiding proliferation of new informal settlements.

C. Relevance to Higher Level Objectives

14. **The proposed Project is aligned to the Sustainable Development Goals (SDGs), namely SDG 5 (Gender Equality), SDG 6 (Clean Water and Sanitation), SDG 11 (Sustainable Cities and Communities) and SDG 13 (Climate Action).** These SDGs aim to: (i) achieve gender equality and empower all women and girls; (ii) ensure availability and sustainable management of water and sanitation for all; (iii) make cities and human settlements inclusive, safe, resilient, and sustainable; and (iv) take urgent action to combat climate change and its impact, respectively.

15. **The Project is aligned with Paraguay's National Development Plan (NDP) 2030.** The NDP is organized into three pillars, all of which are relevant for this Project: (i) Poverty Reduction and Social Development; (ii) Inclusive Economic Development; and (iii) Inserting Paraguay in the World. Within these pillars, this Project can contribute to the following NDP strategies for poverty reduction, urban development, human capital, and climate change: (i) Strategy 1.3 "Local participatory development"; (ii) Strategy 1.4 "Adequate and sustainable habitat"; (iii) Strategy 2.1 "Employment and social security"; and (iv) Strategy 3.4 "Sustainability in the global habitat."³⁴ This Project will also respond to the Government's recent COVID Economic Recovery Plan through local economic

³⁴Gobierno Nacional de Paraguay. (December 2014). "Plan Nacional de Desarrollo Paraguay 2030."



development and reactivation of the construction sector, as well as building capacity in urban planning to support urban resilience.

16. **The Project is aligned with the current Paraguay Country Partnership Framework (CPF)³⁵ with the World Bank for the Period FY19-FY23.** CPF progress has been assessed through the Performance and Learning Review, which included WBG's response to the COVID pandemic and support for the country's economic recovery, and all three CPF focus areas remained valid. The proposed investments address Focus Area Two: Increase Resilience and Strengthen Natural Capital Management and the Rural Economy with regards to supporting Paraguay to increase its resilience to climate shocks (like rain-related hazards like floods and droughts) at the national and household levels. Objective 6 of the CPF "Strengthen environmental governance for Nationally Determined Contribution (NDC) implementation and natural capital preservation" includes an indicator to measure the participation of climate vulnerable families in the *Bañados* of Asuncion in the development of a disaster risk management strategy.

17. **The Project is aligned with the Paraguay NDP and NDCs on addressing climate change impacts.** The Paraguay NDP recognizes the severity of the risks of climate change to the country, and it includes several relevant strategies and lines of action, such as: promoting climate change mitigation and adaptation at the local level, raising public awareness and participation in response to climate change, generating knowledge on disaster risk reduction to build community resilience, and protecting Paraguay's natural patrimony, including watersheds and parks.³⁶ The 2016 National Climate Change Adaptation Plan prioritizes the need to address flooding vulnerability in urban areas and to enhance the adaptive capacity of the vulnerable population.³⁷ The 2021 NDCs reinforce this commitment by including "Resilient Communities and Cities" as a priority sector with five objectives aimed at (i) improving local urban planning and land management, (ii) protecting and restoring green areas, (iii) building resilient infrastructure to protect against urban flooding, (iv) strengthening citizen participation in adaptation to climate change; and (v) promoting sustainable tourism.³⁸ The CPF includes a target to help Paraguay in achieving NDC implementation, especially supporting adaptation to climate change.

18. **The Project will contribute to the three dimensions of the WBG Green, Resilient, and Inclusive Development (GRID) approach.³⁹** Project investments will focus on low-carbon climate resilient housing and investments including energy efficiency as part of the green component; support a more resilient Riverfront of Asunción by providing nature-based solutions, preservation of existing ecosystems, and encouraging non-motorized transport, as part of the Resilient component; and provide targeted support for communities in flood-prone areas which are most vulnerable to climate change. The project will enhance Paraguay's institutional capacities on territorial and environmental planning and management; low-carbon, energy-efficient and resilient infrastructure construction; and green jobs to contribute to a more resilient and inclusive recovery.

³⁵Report No 131046PY, discussed by the Board of Executive Directors on January 22, 2019

³⁶Gobierno Nacional de Paraguay. (December 2014). "Plan Nacional de Desarrollo Paraguay 2030."

³⁷Gobierno Nacional de Paraguay. (December 2016). "Plan Nacional de Adaptación al Cambio Climático."

³⁸Gobierno Nacional de Paraguay. (June 2021). "Actualización de la NDC de la República de Paraguay."

³⁹World Bank. 2021. Green, Resilient, and Inclusive Development. <https://openknowledge.worldbank.org/handle/10986/36322>.



II. PROJECT DESCRIPTION

A. Project Development Objective

PDO Statement

19. The project development objectives are to improve living conditions for targeted vulnerable households and to increase resilience⁴⁰ in selected areas in the riverfront of Asunción.

PDO Level Indicators

20. The following are the PDO level indicators of the project:

- a. Number of people provided with improved urban living conditions, disaggregated by gender (CRI).⁴¹
- b. Number of vulnerable households with reduced risk of flooding⁴² in the Riverfront of Asunción considering climate change impacts.
- c. Number of people with new jobs after receiving training, technical assistance, or grants, disaggregated by gender.⁴³
- d. Increased use of upgraded and rehabilitated public spaces and green areas with climate resilience design.⁴⁴

B. Project Components

21. **The Project will have four components:** (i) Component 1 will finance the design and development of a mixed-use and inclusive riverfront area with the construction of definitive in-situ resettlement housing and connections to public services; (ii) Component 2 will support the design and implementation of three sets of targeted urban interventions to revitalize public spaces and green areas; (iii) Component 3 will support economic development and participatory strategies for improving the quality of life and livelihoods of vulnerable communities; and (iv) Component 4 will support capacity building for national and municipal authorities on urban planning, land use and risk management. The Government has presented pre-feasibility studies to inform

⁴⁰Urban resilience is the "measurable ability of any urban system, with its inhabitants, to maintain continuity through all shocks and stresses, while positively adapting and transforming towards sustainability", UN Habitat (2020). This Project promotes an integral approach that includes: (i) environmental resilience to flooding and other climate change impacts; (ii) physical resilience through the creation of green and safe housing and infrastructure; and (iii) social and economic resilience through creating job opportunities, boosting local productivity, and promoting community integration programs with focus on the vulnerable population in the riverfront of Asunción.

⁴¹For the purposes of this Project, "improved urban living conditions" refers to increased access to low-carbon climate resilient formal housing with increased access to basic public services including water supply and sanitation.

⁴²Refers to areas above the 100-year return period level of the Paraguay River.

⁴³The indicator measures the number of people that have access to formal jobs and other income generation activities, including self-employment and the implementation of other kind of entrepreneurial activities, as a product of activities financed under the Project.

⁴⁴Public spaces refer to the new, upgraded, and rehabilitated parks, streets and green areas intervened of the riverfront of Asunción with climate resilient design to enhance adaptation to climate change and include energy efficiency measures.



procurement processes for Components 1 and 2. The designs will be complemented by the participatory processes under Component 3. See Annex 2 for the Detailed Project Description.

22. **Component 1: Eco-Inclusive District (US\$52 million):** This Component will finance the design and development of a low-carbon, climate resilient, inclusive, mixed-use riverfront neighborhood on municipal land through: (i) the construction of 650-750⁴⁵ definitive in-situ resettlement housing units to provide long-term and formal housing solutions on an elevated area (> 64m MAMSL) with strong reduced flood risk (return period is > 100 years) for climate vulnerable families that live in the flood-prone area; (ii) basic urban infrastructure to service the climate resilient resettlement housing units; and (iii) financing of resettlement expenditures, if applicable. This Component addresses 35 hectares of public land owned by the MCA which are particularly vulnerable to climate change impacts, including a flood-prone area. The area is currently informally occupied by approximately 550-600⁴⁶ families, who, in order to address their climate and socio-economic vulnerabilities, will be resettled in-situ into new housing units on elevated land with reduced flood risk within the same area of the district, in accordance with the Resettlement Policy Framework (RPF). Overall, this Component represents an innovative approach to resettlement with the dual objective of adaptation to climate-change-related risks of flooding and of improved urban living conditions and economic opportunity for vulnerable families in their original area of settlement.

23. **In order to enable effective resettlement, this Component will finance the following basic urban infrastructure investments:** (i) connecting the new housing units to the existing public services networks including electricity, water and sanitation; (ii) building the road network to access the new resettlement housing with sustainable urban drainage systems to reduce the risk of pluvial flooding, as well as pedestrian walkways and bicycle lanes to incentivize active mobility and reduce carbon dioxide (CO₂) emissions; (iii) constructing community social service facilities; (iv) creating public parks and green infrastructure for flood risk management and stormwater drainage; (v) restoring two streams that run through the area to optimize their added value to urban development, including flood mitigation; (vi) installing low energy consumption public lighting; and (vii) building an underground high-voltage power line.

24. **All infrastructure investments under this Component, including the housing units will incorporate low-carbon and climate resilient design elements such as the use of materials and construction methods including financing passive design solutions to regulate indoor temperature, rainwater harvesting systems, and waterproofing foundations and walls in areas exposed to floods or high groundwater levels.** Energy-efficient measures will also be incorporated in the housing design to mitigate climate change.⁴⁷ These measures include the use of energy-efficient lighting, efficient faucets and toilets, energy-efficient heating, roof insulation, and passive cooling.⁴⁸

⁴⁵This estimate includes housing units to be provided to families living in Parque Caballero.

⁴⁶This information is derived from a 2019 census “Diagnóstico Rápido de vulnerabilidad ante el COVID 19 en zonas priorizadas del Bañado Norte (Chacarita baja)” carried out by the local NGO Red de Apoyo a Asentamientos. The total number of families affected by the resettlement will be determined through a census conducted by the Municipality of Asuncion with the support of OEI in Paraguay, the National Statistics Institute and the Management Unit at the President’s office.

⁴⁷The construction of the housing units will seek IFC’s EDGE (Excellence in Design for Greater Efficiencies) certification, a green building certification system that will lead to achieve at least 20 percent reductions in energy, water, and the energy used in making the building materials compared to conventional construction.

⁴⁸Passive cooling measures focus on the physical attributes of a home to regulate indoor temperature and other domestic environmental conditions more efficiently.



25. **Component 2: Climate Resilient Public Spaces and Green Areas (US\$39 million):** This Component will finance the design and upgrading of three existing riverfront public spaces to enhance adaptation to climate change, recreational and educational value, social inclusion, accessibility, and financing of resettlement expenditures, if applicable, under each subcomponent. All subcomponents will incorporate climate resilient hydrodynamic designs to ensure that flood risks are reduced to an acceptable level and will incorporate green and grey infrastructure to facilitate natural drainage systems, including bioswales, retention ponds, and rain harvesting. They will include energy efficiency measures in designs and materials to reduce GHG emissions, energy use, and water consumption.

26. **Subcomponent 2.1: Historic Center (US\$19.5 million):** This subcomponent will finance climate resilient, low-cost, high-visibility upgrades to public spaces in the Historic Center along three key corridors, focused on supporting commercial activities, recreation, and tourism, attracting, and retaining employment opportunities, creating spaces for dynamic social interaction, and preserving cultural heritage. The three corridors are: (i) the Civic Corridor, which will link the city's most iconic public buildings and cultural hubs; (ii) the Commercial Corridor, which will concentrate the city's main retail stores and office buildings; and (iii) the Ecological Corridor, which will create a green connection between the Historic Center and nearby public parks and plazas. The upgrades will include: (i) pedestrian and semi-pedestrian streets and connections to bike lanes to incentivize active mobility and disincentivize motor vehicle use, reducing GHG emissions; (ii) upgrades to public plazas with urban furniture and play areas; (iii) low-energy consumption street lighting; (iv) shading structures to mitigate climate-induced heatwave and heat-island effects; (v) planting of trees and native flora to provide shade to regulate temperatures including during heatwaves; (vi) replacing overhead electrical cables with underground cables; (vii) improved retention and drainage of stormwater, including green infrastructure, permeable streetscapes, and rain harvesting, to reduce flooding impacts; (viii) flexible spaces to accommodate street vendors and artisans; and (ix) signage and wayfinding elements.

27. **Subcomponent 2.2: Parque Caballero (US\$12 million):** This subcomponent will finance basic climate resilient upgrades to an existing 13-hectare historic urban public park as well as its expansion to an adjacent plot of six hectares of vacant municipal land available for development. This will facilitate new green areas and climate smart nature-based solutions to climate change impacts, increased use of this public space for dynamic social interaction of diverse users and improve connectivity between the Historic Center and the riverfront. The investments will be designed to reduce climate-induced flood risks upstream and downstream, removing existing drainage blockages and creating areas for additional retention capacity in the park. Furthermore, the intention of creating these spaces is to improve pedestrian mobility to encourage non-motorized transport. The investments include: (i) revamping entrances, surrounding streets and interior pedestrian walkways to improve accessibility and incentivize active non-motorized mobility; (ii) constructing climate resilient community facilities and spaces for diverse users and activities, including playgrounds, a skate park, community gardens for local food and plant production, and flexible, modular areas for community development and commercial uses; (iii) planting of trees and native flora to mitigate climate-induced heatwave impacts by increasing the shaded areas; and (iv) creating a retention area to mitigate flood impacts; among other small-scale upgrades like (v) installing low-energy-consumption public lighting. There is a low-lying area between the existing park and the proposed four-hectare expansion that currently hosts around 100-150⁴⁹ families in informal housing units at high risk of flooding, who

⁴⁹ibidem.



will be offered resettlement alternatives in accordance with the RPF, including the option to relocate to the resettlement housing units in the Eco-Inclusive District (Component 1).

28. **Subcomponent 2.3: Banco San Miguel (US\$7.5 million):** The subcomponent will finance small-scale investments to strengthen the ecological function and climate resilience of Banco San Miguel and Bahía de Asunción, a 300-hectare ecological reserve, as the main open natural protected space. Banco San Miguel,⁵⁰ officially designated a nature reserve by Law 2715/05, is located in a natural flood plain between the Paraguay River and the Bay of Asunción. The reserve provides a number of ecosystems and social services. It serves as a key site for biodiversity and migratory birds, which have been threatened by habitat degradation⁵¹ and provides room for the river reducing its level during peak flows. The investments include (i) preservation of nature-based floodwater control for selected areas and restoration of native flora; (ii) improving pedestrian and non-motorized transport and mobility by constructing ecological walkways and bike lanes; (iii) expanding climate resilient public spaces along the southern border of the reserve; (iv) building a center for park rangers and a nature observatory with interpretive signage to raise public awareness about climate change and the importance of the nature reserve; and (v) carrying out eco-friendly investments to support local communities. This subcomponent will enhance climate resilience through nature-based solutions and preservation and strengthening of existing ecosystem services, encourage increased non-motorized transport and mobility, set the stage for the long-term restoration and protection of the reserve, provide access to outdoor recreational and educational opportunities, and support the sustainable local economic activity of communities that currently utilize the area. Interventions will not affect flow and level of the Paraguay River.

29. **Component 3: Social Resilience, Local Economic Development, and Citizen Engagement (US\$6 million):** This Component will finance activities to (i) support local economic development along the riverfront through a bundled⁵² economic inclusion program and (ii) support the participatory design of public spaces and resettlement housing to be financed under Components 1 and 2, participatory processes to inform prefeasibility studies for selected flood-prone areas in the *Bañados*, and technical assistance to strengthen the stakeholders engagement under the MCPA. The geographical scope of this subcomponent extends to broader riverfront communities, beyond the geographical scope of Components 1 and 2 emphasizing engaging women (see Annex 3), people with disabilities, workers in the informal economy⁵³, and other vulnerable groups.

30. **Subcomponent 3.1: Local economic development (US\$5 million):** This subcomponent will finance: (i) a participatory diagnostic of post-COVID socioeconomic challenges and opportunities in Asunción; (ii) the design and construction of a low-carbon and climate resilient Center for Local Economic Development and Social

⁵⁰Though the official name is “Banco San Miguel y Bahía de Asunción,” the Project will refer to Banco San Miguel for ease of reference.

⁵¹IADB (2018) “Strengthening Urban Resilience in Riverside Asunción.” Available at:

<http://idbdocs.iadb.org/wsdocs/getdocument.aspx?docnum=EZSHARE-518808585-6>

⁵²Bundled economic inclusion interventions, which pair cash grants with complementary interventions like training and technical assistance, have proven effective at developing sustainable livelihoods of poor and extreme poor beneficiaries. An important feature of these programs is that they can tackle the multiple constraints often faced by the most vulnerable groups. See: *Unlocking the Potential of Women Entrepreneurs in Uganda* (World Bank 2021) and *A Path to Jobs for the Urban Poor* (World Bank, 2021).

⁵³Workers in the informal economy include, inter alia, informal waste pickers, sexual workers, street vendors, etc. The approach is aligned with the World Bank Green, Resilient and Inclusive Development (GRID) approach mentioned above.



Innovation (CEDELIS)⁵⁴; (iii) the design and implementation of capacity building and professional training programmatic activities of the CEDELIS; (iv) the provision of technical assistance and grants for social and economic development initiatives to strengthen community-based organizations (CBOs), and micro, small, and medium enterprises (MSMEs), and individual beneficiaries to help them formalize and link to existing value chains and markets (local, regional or national); and (v) the implementation of community-driven social and economic development activities (See detailed project description in Annex 2). The families to be resettled in Components 1 and 2 will be targeted to benefit from these activities, though the scope of this subcomponent extends to broader riverfront communities, as mentioned above.

31. Subcomponent 3.2: Participatory urban design and social management mechanism (US\$1 million): This subcomponent draws on Paraguay's long-established tradition of relying on participatory processes to develop its urban and housing development agenda. It will finance (i) participatory design of resettlement housing and public spaces to be financed under Components 1 and 2;⁵⁵ (ii) participatory processes to inform the prefeasibility studies for strategic urban interventions in the *Chacarita Inundable* and Banco San Miguel areas to be financed under Component 4; and (iii) technical assistance to strengthen the stakeholders engagement and promote a socially inclusive citizen engagement mechanism to inform the implementation of the MPCA.⁵⁶ These investments will set a precedent for urban development by enhancing women's and vulnerable groups' voice and agency, modeling effective public participation, and preventing potential negative impacts like gentrification.

32. Component 4: Institutional Capacity Building for Urban Resilience and Project Management (US\$7.74 million): This Component will finance (i) capacity building activities for national and municipal government institutions (including MOPC, MUVH and MCA) on territorial and environmental planning, including adaptation to climate change; (ii) the design of a public-private management model to guide future developments in the riverfront area; and (iii) carrying out project management activities performed by the Project Implementation Unit (PIU). The Component will also finance analytical products for urban resilience and Project management, such as the prefeasibility studies for strategic urban interventions in *Chacarita Inundable* and Banco San Miguel areas; and also, the enhancement of an online platform to manage citizen feedback and grievance redress. As part of the support to the PIU the Component will finance: (i) the hiring of specialized staff or consultants for project implementation; (ii) monitoring and evaluation activities; (iii) the reporting, project audits and grant audits; (iv) the supervision of civil works; (v) the design and implementation of a strategic communications campaign.

C. Project Beneficiaries

33. The Project will benefit vulnerable riverfront communities that are marginalized due to economic barriers and lack of access to resources to live in quality housing. The Project will directly benefit around 650-750 low-income households (about 2400 people) who will be resettled into new housing units in the Eco-Inclusive

⁵⁴This kind of Centers work as boundary spaces that facilitate multidisciplinary learning, foster partnerships between small businesses, and also work as a one-stop-shop for all government programs (both national and municipal). This builds on experiences like the Centro de Desarrollo Emprendedor y Laboral (CeDEL) in Barrio Mugica, (Argentina) and the Centro de Innovación y Emprendimientos (CIE) in Montevideo, Uruguay.

⁵⁵Participation activities under this subcomponent will be designed to incorporate the views and inputs of individuals and groups that usually find themselves excluded from fully participating in political, economic, and social life. Consultations will be carried out throughout the project life cycle and, after acting on the recommendations provided, the PIU will report back to those who were consulted on how their suggestions were considered to close the feedback loop.

⁵⁶Socially inclusive citizen engagement is focused on identifying residents' needs and priorities and, promoting universal accessibility, gender-inclusive design, active mobility, and outdoor leisure that permits social distancing.



District, respecting their preferences for housing design and location in the same area. The Project will also benefit households who have also suffered the most from the economic downturn as a result of the COVID pandemic. Around 1,000 people⁵⁷ in the area of influence of the Project will directly benefit from local economic development (LED) activities, with an emphasis on engaging women, who have experienced disproportionate impact on livelihoods due to COVID.

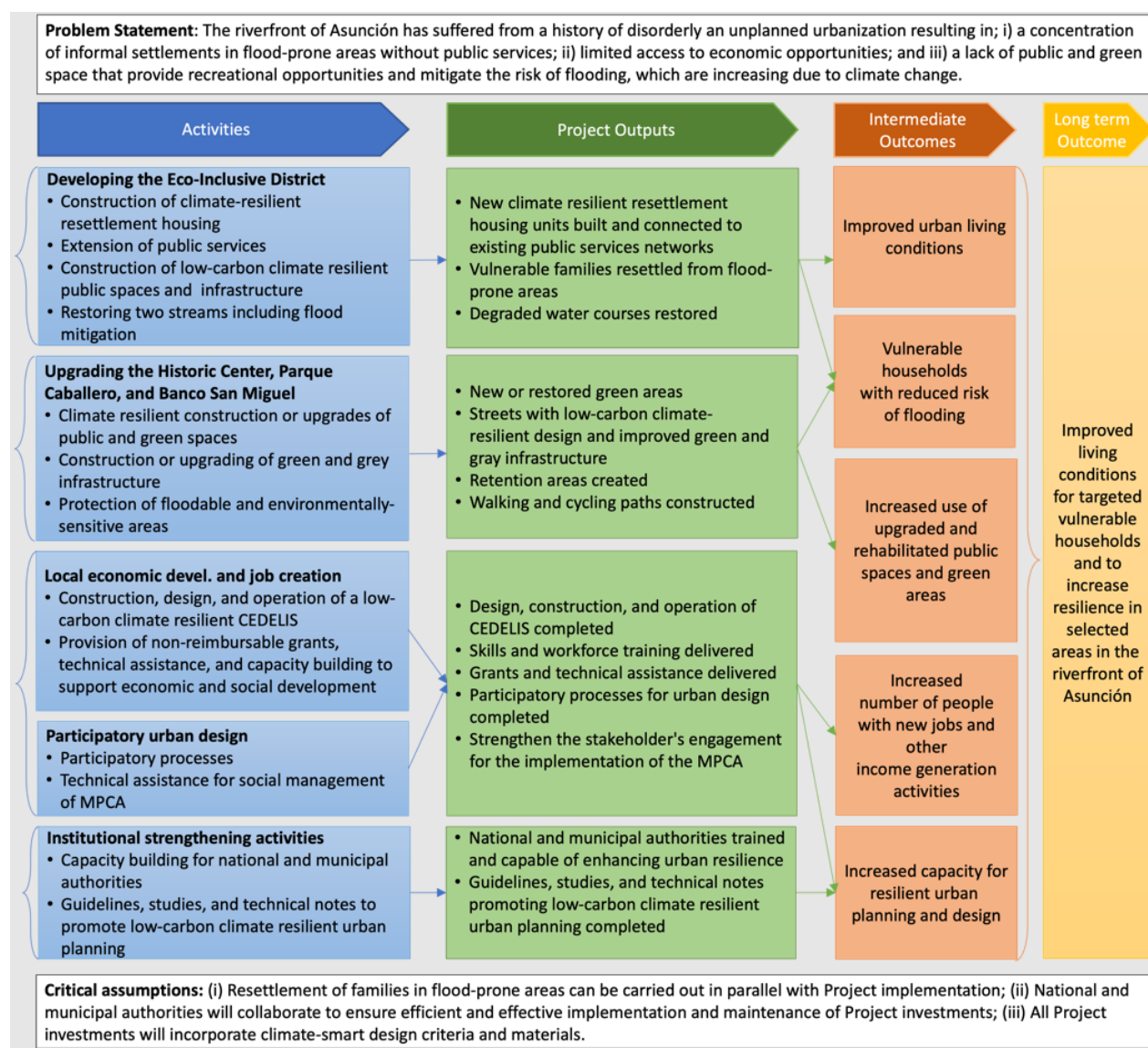
34. **The Project will also benefit the wider public residing in or visiting Asunción through the upgrading of public spaces and green areas for commercial, recreational, and educational purposes, as well as the preservation of cultural heritage.** Around 300,000 people visit the Historic Center every day, who will enjoy improved public spaces as well as benefit from increased economic activity and a more attractive environment for tourism, including vulnerable communities who will benefit from more socially inclusive and accessible activities, areas and infrastructure. Public health will also be improved by upgrading public spaces that are apt for social distancing and that promote active mobility.

35. **The Project will benefit public sector institutions through capacity building and technical assistance.** Institutional beneficiaries within the national government will include units within MOPC, MUVH, MCA, STP and Social Cabinet, which will benefit from improved capacity and strengthened instruments to promote urban resilience and the adoption of climate-smart and sustainable practices in urban planning, land management, social inclusion, and economic recovery.

D. Results Chain

36. **The figure below describes the Theory of Change of the Project.** It articulates and links the Project activities and expected outputs and outcomes to be tracked and measured through intermediate and PDO-level indicators.

⁵⁷Direct beneficiaries include people that will receive training and will be benefited through access to grants under Component 3 (including approximately 650-750 heads of the households that will be resettled). Indirect beneficiaries include those employed in the construction of the infrastructure and public spaces financed by the Project, which is estimated to generate over 2,300 jobs. An additional estimated 6,700 jobs will be created through the increase in economic activity anticipated as a result of Project investments.



E. Rationale for Bank Involvement and Role of Partners

37. The World Bank's support to this Project draws on its long-standing global experience in the design and implementation of urban resilience projects focused on improving living conditions and livelihoods for vulnerable communities through a range of advisory, policy and investment instruments, including recent and ongoing engagement in Argentina, Brazil, Colombia, India, Mexico, and Vietnam, among others. Key characteristics of successful World Bank engagements in urban resilience include ensuring well-targeted use of public resources, enabling private sector engagement, and convening global expertise. The complementary expertise of the three World Bank Global Practices involved in this Project will offer a holistic, integrated approach. The Project also benefits from a wide range of analytical studies recently completed by the World Bank on topics including urban resilience, informal housing and resettlement, climate change, flood and disaster risk management, local economic development, and COVID recovery, among others.



38. **The Bank is well-positioned to support this Project due to its long-term engagement with Paraguay through technical assistance activities that support urban resilience.** The Bank has played a fundamental role in facilitating and supporting a participatory digital platform, a technical assistance activity funded by the GFDRR. Through P095235 “PY Water and Sanitation Sector Modernization,” the Bank financed improvements to water services and access to sewerage services in Asunción between 2010 and 2019. In October 2020, the Bank completed a technical assistance that provided recommendations on the implementation of the MPCA, which resulted in an in-depth understanding of the challenges and opportunities for the AMA, as well as a strong relationship with national and municipal counterparts.

39. **The Bank will coordinate with the other government agencies and development partners implementing the MPCA along the riverfront.** The IADB has been working with MOPC for several years to improve housing quality and public infrastructure in the southern riverfront area (Bañado Sur), including a resettlement process in the Tacumbú neighborhood.⁵⁸ The IADB is also financing a slum upgrading project in Chacarita Alta, an area adjacent to the Project investments, creating opportunities for coordination and incorporating lessons learned, particularly from the resettlement process. In 2021, the World Bank has supported coordinating efforts with an IADB-financed project with the Ministry of Information Technologies and Communication that intends to develop a “Digital District” along the riverfront, aligning the Ministry’s plans with the proposals for the Eco-Inclusive District (Component 1). Furthermore, results from a Disaster Risk Analysis financed by the IADB were incorporated into the hydrodynamic assessments conducted for this Project. Additionally, CAF will be supporting the Office of Statistics, Surveys and Census (*Dirección General de Estadística, Encuestas y Censos-INE*) to conduct a socio-economic survey in the riverfront area known as Chacarita Baja. The UNDP is supporting the Ministry of the Environment and Sustainable Development and other governmental agencies on a multi-year engagement known as “Asunción Ciudad Verde de las Américas,” which includes updating a cartographic Atlas and the Plan for Territorial and Urban Development for the AMA.

F. Lessons Learned and Reflected in the Project Design

40. **The Project benefits from lessons learned from the Bank’s recent experience in implementing projects in Paraguay,⁵⁹ as well as recent urban projects under implementation by the IADB, analytical work, academic literature, and international best practices:**

41. **Lesson 1: Upgrading public spaces and improving living conditions for vulnerable communities can catalyze urban resilience.** Around the world, financing urban revitalization through public spaces and cultural assets like historic city centers has been shown to improve social inclusion, accessibility, civic participation, public health, perceptions of safety, well-being, and a sense of belonging. These investments can enhance the competitiveness of a location to attract economic activity, ultimately contributing to poverty reduction.⁶⁰

42. **Lesson 2: Simple, strategic “quick wins” should be paired with investing in developing institutional capacity.** Past failed attempts to redevelop the riverfront have seeded mistrust in both the vulnerable communities living in high-risk informal settlements and in private sector actors with an interest in investing, whose expectations have been raised and then frustrated on several occasions. Early interventions, like

⁵⁸IADB. “PR-L1152: Housing and Rehabilitation Program for Bañado Sur in Asunción.” <https://www.iadb.org/en/project/PR-L1152>

⁵⁹Including: “Water & Sanitation Sector Modernization Project” (P095235), “Paraguay Public Health Sector Strengthening” (P167996), and “Paraguay Transport Connectivity” (P147278).

⁶⁰World Bank. (2012) Economics of Uniqueness: Investing in Historic City Cores and Cultural Heritage Assets for Sustainable Development.



improvements to public spaces, can be accomplished quickly at relatively low cost with visible results, which will build community support and demonstrate the Government's commitment to creating positive social, economic, and environmental impact. This will be balanced with the support in creating appropriate management model and building institutional capacity for future development along the riverfront.

43. **Lesson 3: Transformational investments in infrastructure and urban upgrading must be matched by dedicated social and economic development.**⁶¹ Experiences from Bank-financed urban upgrading programs in Belo Horizonte, Buenos Aires, Haiti, and Honduras show that complementary investments in citizen engagement, human capital and local economic development not only contribute significantly to Project ownership and sustainability but can also bolster recovery from COVID impacts, and help to reduce the risk of gentrification. Lessons learned from a delayed and difficult resettlement process in the "Water & Sanitation Sector Modernization Project" (P095235) emphasize the importance of working closely with families to design and select their resettlement compensation alternatives, as well as assign dedicated capacity within the Government to monitor and oversee resettlement processes. With a mix of workforce development, support for CBOs, and participatory design, Component 3 will support lasting economic and social benefits for vulnerable communities along the riverfront of Asunción.

44. **Lesson 4: Integrated water management in urban planning can reduce flood risks and enhance adaptive capacity to climate change.** International best practice and Bank-executed projects in Bogotá, Buenos Aires, and Panama City, as well as outside the region in Beira, Wrocław, Colombo and in the implementation of the sponge cities concept in China, indicate that water needs to be a key layer of spatial planning in cities in order to reduce flood risks, which are increasing in frequency and intensity due to climate change. For the investments proposed under Components 1 and 2, this Project will require hydrodynamic assessments to ensure that flood risks are reduced to an acceptable level with an optimal balance between gray and green infrastructure and that drainage capacity both upstream and downstream is not affected negatively. As part of Component 4, this Project will increase the capacity of national and municipal authorities to analyze and utilize hydrodynamic models as an integral part of urban development investments along the riverfront area. Lessons learned from the Public Expenditure Review for Paraguay's Water Sector will be considered to assure appropriate public services that align with the sector's long-term planning in the city.⁶²

III. IMPLEMENTATION ARRANGEMENTS

A. Institutional and Implementation Arrangements

45. **The Project's executing agency will be the Ministry of Public Works and Communications (MOPC) through a Project Implementing Unit (PIU).** Based on previous experience with limited institutional capacity and frequent staff turnover, which have led to delays in implementation, the CPF recommends that a single agency maintains overall responsibility for management of Bank-financed projects. MOPC has a proven track record in terms of technical capacity for planning infrastructure with international financing. However, MOPC will require

⁶¹Poor and vulnerable households face a range of constraints in integrating into the economy. Programs that offer standalone interventions would not necessarily help these to address these multiple constraints simultaneously. The emerging evidence suggests that economic inclusion programs can do so effectively, with positive impacts on income, assets, and consumption. Economic inclusion programs commonly include, *inter alia*, skills training, business grants and market linkages. See: A Path to Jobs for the Urban Poor (World Bank, 2021).

⁶²El Servicio de Agua y Saneamiento en Paraguay. Análisis sobre aspectos institucionales, de gobernanza y sobre el gasto público, June 2020, Global Water Practice-Latin America and the Caribbean.



additional support in terms of project execution and management. The CPF encourages lending operations in Paraguay to include institutional strengthening components, as this Project offers for MOPC and other national and municipal institutions in Component 4.

46. **The PIU will be responsible for overall coordination and technical oversight of the Project.** It will ensure compliance with (i) fiduciary management; (ii) reporting requirements and monitoring activities; (iii) the implementation of the environmental and social measures; and (iv) all relevant World Bank policies and procedures.

47. **In order to guarantee interinstitutional coordination, the PIU will rely on the *Mesa Interinstitucional* and on a technical committee.** The *Mesa Interinstitucional*, created by Presidential Decree in 2019 for the implementation of the MPCA, includes representation from the national and municipal government agencies responsible for Project implementation, including MOPC, MUVH, MCA, Ministry of Finance, STP and the Social Cabinet.

48. **The MCA will play a key role in the operation and maintenance of Project investments.** Given the limited capacity of the MCA, all large investment projects in the riverfront of Asuncion have been executed by the national government in recent years. That said, the MCA has several responsibilities relevant to Project investments related to land use, local cadaster and taxes, and operation and maintenance of investments. Therefore, the Project will provide capacity building activities and technical assistance to the MCA on the sustainable management of Project investments made on municipal land. Because the MCA has a strong track record on citizen engagement, it will support MOPC in the implementation of Component 3. The MOPC, MUVH and MCA have elaborated a Cooperation Agreement to define their roles and responsibilities in the Project.

49. **MOPC has a small environmental and social team with experience working with international standards and with the Bank's environmental and social safeguards, but no experience on the WB Environmental and Social Framework (ESF).** An E&S capacity assessment was carried out as part of Project preparation and actions needed to strengthen the Borrower's capacity to meet the objectives of the ESF have been agreed and informed the Environmental and Social Commitment Plan.

B. Results Monitoring and Evaluation Arrangements

50. **The Results Framework describes the PDO-level and intermediate indicators that have been selected based on review of good practices across other World Bank-financed projects, data availability, and the inclusion of gender, climate change, and citizen engagement corporate priorities.** A Monitoring & Evaluation specialist in the PIU will lead the effort to collect, consolidate, analyze, and report on project performance data as well as to provide periodic information on intermediate project-wide results and progress towards higher-level outcomes. Progress reports will cover: (a) physical and financial progress achieved against agreed indicators; (b) issues and problem areas, including remedial actions; (c) work programs and cost estimates for the following year, including the implementation and impact of various components and environmental and social standards. The Project will provide technical support under Component 4 to the PIU to conduct the baseline for monitoring and evaluation during the first three months of Project implementation. Participatory activities and follow-up surveys will be carried out during implementation and at the end of the Project, and results will be incorporated into Project activities to continuously improve processes.



C. Sustainability

51. **There is a high level of political commitment and buy-in from the Government of Paraguay, as the Project is directly aligned with the NDP and the CPF.** The Government has the necessary legal framework, policies, and institutions to ensure proper Project implementation. Project investments have been approved as part of the MPCA, which provides a solid urban planning framework. All Components were prioritized by the *Mesa Interinstitucional*, ensuring cross-sector and cross-agency buy-in for these projects, and the pre-feasibility studies for the Project were subject to discussions and feedback with a wide array of stakeholders, including MUVH, MCA, STP, the Ministry of Social Development, and the Ministry of Labor, Employment and Social Security. Project investments will be incorporated into the medium-term national investment portfolio, as approved by the National Congress, ensuring proper consideration and the support of the major political parties.

52. **The Project will provide technical assistance and capacity building to guide the future development of the Riverfront.** While the current Project is a publicly-financed operation on land owned by the Municipality, it helps to create the enabling environment –and critical infrastructure– which will allow for future private-led development of greater Bañados area and the adjacent neighborhoods. Specifically, the interventions in the Eco-inclusive District will generate new elevated land in an area surrounding the resettlement housing constructed under Component 1 suitable for future public-private urban development. Additionally, the Project will help the local authorities define land use and building regulations in the area to engage with potential private developers and financiers in the future. While the proposed Project does not include any direct private development or the commercialization and permission for the private development on the public lots, the operation does set the stage for the authorities to explore all possibilities for the development of lands into the future. Component 4 will finance Technical Assistance to support the GoP to facilitate consideration of international best practices to develop a public-private management model guiding future real estate investments, however, its implementation is not considered as part of the Project.

53. **Sustainability at the design level.** The designs of the infrastructure investments (including resettlement housing units, improvements to public spaces, and green and gray infrastructure) will be based on participatory processes and will incorporate climate-smart, gender-informed and universal design criteria. A strong citizen engagement strategy will ensure ownership of the Project by the community and set the foundation for community support in asset maintenance.

54. **Sustainability at the Operation & Maintenance (O&M) level.** The Cooperation Agreement between MOPC, MCA and MUVH will ensure project sustainability. The MOPC has committed to executing the initial infrastructure investments, while the MCA has committed to supporting the process and assuming associated costs related to plan and undertake regular maintenance of urban infrastructure and LED activities. Part of the commitment of the MCA is to work closely with beneficiary communities to maintain the investments proposed through a behavioral change strategy. The Bank team will support MCA with models, case studies, and best practices for funding, programming and maintaining a successful public space. In addition, the training and hiring of local labor for the construction, operation and/or maintenance of infrastructure investments will promote appropriation of the investments by riverfront communities.

IV. PROJECT APPRAISAL SUMMARY



A. Technical, Economic and Financial Analysis

(i) Technical design

55. **The Project has benefitted from a series of technical studies developed in partnership with the World Bank, MOPC and the *Mesa Interinstitucional*.** The design of the Project builds on results from the October 2020 technical assistance, which has since been complemented by pre-feasibility studies conducted by the MOPC in coordination with MUVH and MCA, with support from qualified international and local urban, economic, social, environmental, and communications specialists. Multiple consultations were conducted with key partners (including the Mesa Interinstitucional), donors, and private sector stakeholders during the technical assistance and pre-feasibility studies. The four infrastructure investments were selected from the MPCA and prioritized through a multi-criteria analysis.

56. **The pre-feasibility studies include analysis of existing and planned initiatives in the areas of intervention, public services, availability and quality of land, hydrodynamic assessments, and environmental and social considerations, which were considered in proposals for designs and cost estimates of Project investments.** The pre-feasibility studies indicate phasing of the Project investments, including civil works that could be bid out immediately after Project Effectiveness. The pre-feasibility studies will be complemented and adjusted with a series of technical studies, including: (i) a census of the informal settlements in the Eco-Inclusive District, Parque Caballero and Banco San Miguel; (ii) a study of resettlement alternatives in the AMA, including underutilized public land and public buildings available for development and the current stock of affordable housing that could be utilized for resettlement purposes; (iii) a study of feasibility of land value capture mechanisms and the access of affordable housing in the surrounding intervention areas; (iv) a market sounding for real estate in the Eco-Inclusive District to support a strategy for private-sector investments.

57. **Upon Project Approval, the final designs of Components 1 and 2 will undergo technical evaluation and supervision as part of a comprehensive planning process, and review and clearance by MOPC, with support from MUVH and MCA.** In particular: (i) integrated project designs and technical specifications will be required to meet design standards, incorporate the inputs from the participatory design processes and be approved by supervising authorities; (ii) bid evaluations will be reviewed and construction supervision will be carried out by qualified engineers to ensure conformity to the technical specifications; and (iii) after construction, arrangements will be made to transfer the works and their operation to the relevant authority or service provider, and a field team (that includes engineers) will supervise the beginning of the operational phase.

(ii) Economic analysis

58. **The Project will generate positive economic impacts by (i) reducing damages and losses due to floods affecting the riverfront of Asunción for households reallocated to areas with reduced flood risks; (ii) generating new employment and entrepreneurial opportunities for the vulnerable riverfront communities; and (iii) generating revenues through the sale of public land to private investors thus creating conditions for real estate development in the area.** The Project was evaluated utilizing the cost-benefit method, defined based on a scenario with and a scenario without the project. All costs and the operating and maintenance expenses of the suggested infrastructures were considered over a twenty-year period. The economic analysis includes the determination of the Internal Rate of Return and the Net Present Value, considering a discount rate of 9 percent according to the recommendation of the National System of Public Investment of the Ministry of Finance.



59. **The Project is economically viable.** The first benefit of the Project is related to the costs and losses avoided by the proposed interventions, in particular the reduction of family and government costs caused by flooding as a result of temporary sheltering of people affected. The second group considers the indirect benefits, such as the increase in property values and the enhanced economic activity generated by the improvements in urban infrastructure and the upgrading of public spaces. Lastly, the economic analysis considers the potential revenue from the sale of 25 hectares for construction in the Eco-Inclusive District. Under these assumptions and estimates, the Net Present Value (NPV) of the Project reached US\$82.2 million and the Internal Rate of Return (IRR) was 23 percent.

60. Table 1 displays the economic analysis at efficiency prices, with estimated cost and benefit flows, as well as the sensitivity analysis performed to determine the impact of changes in certain variables or assumptions. The Project maintains its profitability in all scenarios.

Table 1: Economic analysis of the Project, including sensitivity analysis

Scenarios	Net Present Value (US\$ million)			IRR (percent)
	Costs	Benefits	Net Benefits	
Baseline scenario	-92.49	175.18	82.22	23.0
Baseline with a 25 percent reduction in project benefits	-92.49	131.52	38.43	16,6
Baseline with a 25 percent cost increase	-112.76	175.18	62.42	18.4
Baseline with a 25 percent reduction in benefits and a 25 percent increase in costs	-112.76	131.52	18.63	12.2

61. **Future potential benefits.** The Project is also expected to generate additional benefits to Asunción such as increasing employment, and generating new business opportunities, and economic development, not contemplated above. In particular, once completed, the strategic public sector investment in the Eco-Inclusive District and the revitalization of the Historic Center can mobilize private sector investment in the medium term, especially given the prime location (e.g., upgraded public and green spaces, and riverfront access), thereby laying the foundation for inclusive and mixed-use areas with both residential and commercial activities.

(iii) Gender, Citizen Engagement, and Climate Co-Benefits

62. **Gender:** The Paraguay NDP includes the objective of increasing women's participation in the formal labor force up to 75 percent.⁶³ This Project will support the NDP and the World Bank Gender Strategy for 2016-2023 to enhance women's voice and agency and reduce relevant gender gaps by (a) contributing to closing the labor force participation gap between men and women in vulnerable communities living in high-risk areas of the Asunción riverfront, (b) improving urban and housing conditions for these communities, and (c) relying on a highly participatory approach in the design of Project investments.

- a. **Specific gender gap: This Project is designed to reduce the gender gap in labor force participation in the vulnerable communities along the Asunción riverfront.** In terms of economic parity, women in Paraguay have a weaker attachment to the labor force and are more likely to be neither in employment nor in

⁶³Gobierno Nacional de Paraguay. (December 2014). "Plan Nacional de Desarrollo Paraguay 2030."



education or training. About 60 percent of women were in the workforce in 2019 compared to 85 percent of men. Women are significantly more likely to work informally, whether in self-employment, as informal wage workers or as unpaid family workers. In urban areas, one in four women (25 percent) does not have an income of her own, compared to only 8 percent of men. About 78 percent of women in Paraguay in the workforce are at high risk of losing their jobs or suffering an employment modification because of the pandemic, compared to 52 percent of men, largely due to women's low rate of participation in sectors like construction, transportation, and manufacturing. The large gaps in labor outcomes for men and women are persistent, showing only modest improvement during the previous period of robust growth until 2019, and they are expected to be exacerbated by the COVID pandemic.

- b. **Specific actions:** The gap will be addressed in Component 3 through: (i) recruiting women as staff members for the CEDELIS and ensuring equal gender representation in hiring by setting up specific quotas for female beneficiaries in the hiring policies and programs; (ii) recruiting women as participants in the CEDELIS' programming, with an emphasis on engaging them in training for non-traditional sectors like construction, based on a needs assessment and participatory design of training opportunities; (iii) providing targeted support to women participants in CEDELIS' programs during the job application process; (iv) systematically following up with women participants in CEDELIS programs to ensure job retention and understand existing challenges to provide specific ongoing support; (v) targeting women-led CBOs and MSMEs for the grants program, technical assistance and capacity building activities; (vi) giving preference to grants proposals that identify gender gaps in the area and propose actions to contribute to closing them; and (vii) ensuring equal representation of women and girls in participatory activities (Subcomponent 3.2) so that all Project investments include a gender perspective in design, implementation, monitoring and evaluation. See Annex 3 Gender Action Plan.
- c. **Indicators:** The project includes a series of gender-disaggregated indicators to monitor the successful implementation of the actions proposed above. Intermediate indicators include, *inter alia* (i) the number of people with a new job after receiving training, technical assistance, or grants - percentage of whom are female, with a target of 60 percent for female; (ii) Number of women trained in non-traditional sectors, like construction (with a target of 250); and (iii) Municipal and national government officials trained by capacity building activities (percentage of whom are female, with a target of 30 percent). See Annex 3 for a full list of gender disaggregated indicators.

63. **Climate Co-benefits:** Asunción faces high flooding risk for up to half of the year, as well as rising river levels and average monthly rainfall and increasing temperature, which are expected to be exacerbated by climate change. The Project will limit flood risk and associated damages to communities and infrastructure, as well as enhance the adaptive capacity of vulnerable families, public authorities, and natural ecosystems. The Project will contribute to adaptation and mitigation of climate change by: (i) redirecting urban growth and building resettlement housing in areas less exposed to increasing flood risk; (ii) conserving nature reserves and green public spaces to improve their ecosystem services and mitigate impacts of floods and heatwaves; (iii) introducing green and grey infrastructure to address climate vulnerabilities; (iv) employ low-carbon and climate-resilient design, building materials and construction practices; (v) engaging and raising awareness among citizens (and, in particular, vulnerable families) on climate change associated risks and mitigation measures; and (vi) building the capacity of national and municipal authorities in the application of climate risk analysis and hydrodynamic models for risk-sensitive land planning and management.



64. **Citizen engagement:** The Paraguay NDP prioritizes creating the conditions for transparent and efficient governance through increasing public participation in the implementation, monitoring and evaluation of public programs at all levels of government, with an emphasis on the participation of women, young people, indigenous communities, people with disabilities and the elderly. The NDP promotes community participation in “housing construction and in improving the human habitat... and the environment.”⁶⁴ Component 3 of this Project has been designed to include citizen engagement through public participation in the design and oversight of Project investments. Communication and outreach strategies will be deployed to ensure consistent community buy-in, dissemination of information on how to provide feedback on project activities, including raising concerns, and to contribute to sustainability of Project investments. In addition, Component 4 will support the strengthening of an online platform to manage citizen feedback and grievance redress. The Project will include a citizen engagement indicator to monitor the share of beneficiaries who consider that design of investments subject to consultation is responsive to their needs/views with a target of 75 percent.

B. Fiduciary

(i) Financial Management

65. **The Bank performed a FM assessment of the FM arrangements for this Project in January-April 2021 and November 2021-May 2022.** The FM assessment was carried out in accordance with Bank Policy: Investment Project Financing and Bank Directive: Investment Project Financing and the Financial Management Manual for World Bank-Financed Investment Operations (effective March 1, 2010 and revised September 7, 2021). The overall conclusion of the FM assessment is that: (i) the FM arrangements for the Project are considered adequate; (ii) the funds flow, disbursements, monitoring, auditing and supervision arrangements have been designed in a way to respond to the Project’s implementation arrangements; and (iii) the residual FM risk associated with the Project is rated as Moderate. There are no FM-related conditions for Negotiations or Board. The only FM related condition for Effectiveness is the Borrower’s preparation and adoption of the Project’s Operational Manual, in a manner acceptable to the World Bank.

66. **The primary disbursement method will be the Advance disbursement method.** There are no Lapsed Loans. The Project will be also able to process Reimbursements and Direct Payments. The Project will have a single segregated Designated Account (DA) to be opened at the Central Bank of Paraguay in US\$. The Fixed Ceiling for the DA will be US\$15 million. The Minimum Application Size for Direct Payment and Reimbursement Withdrawal Applications (WAs) will be US\$1 million equivalent. The frequency for the presentation of eligible expenditures paid from the DA is at least once every six months. The Project will report on the use of Advances and process Reimbursement requests through WAs supported by Statement of Expenditures (SOEs). Direct Payments will be documented by Records. The Project Application Deadline Date will be four months after the Loan Closing Date. The MOPC’s DCP will prepare and submit to the Bank semi-annual IFRs, no later than 45 days after the end of each reporting period, using the cash basis.

67. **There are no overdue audit reports and/or outstanding FM or audit issues affecting the MOPC.** The external annual Financial Statement audit of the Project will be performed by a private audit firm. The audit reports (and any accompanying Management Letter) should be submitted to the Bank no more than six months after the end of each fiscal year, with the audit reports (except the Management Letter) being disclosed by both

⁶⁴Gobierno Nacional de Paraguay. (December 2014). “Plan Nacional de Desarrollo Paraguay 2030.”



the Borrower and the Bank. The concurrent grant audit reports, should be submitted to the Bank on a semesterly basis (within 45 days after the end of each semester), flagging any potential issues. The cost of both these types of audits will be financed from the Loan.

68. **No withdrawal shall be made for payments made prior to the date of the Legal Agreement.**

(ii) Procurement

69. **Procurement under the Project will be carried out in accordance with the World Bank's Procurement Regulations for IPF Borrowers for Goods, Works, Non-Consulting and Consulting Services, Fourth Edition November 2020, hereafter "Procurement Regulations."** All contracts will also be subject to the World Bank's Anticorruption Guidelines, dated October 15, 2006, revised in January 2011, and as of July 1, 2016. Local procedures will be applicable under the conditions allowed by the Procurement Regulations and to the extent that they are consistent with the Bank's procurement principles. The Project will use the Systematic Tracking of Exchanges in Procurement (STEP) to plan, record, and carry out procurement transactions. The MOPC will implement the Project through a dedicated PIU. The Bank will conduct a capacity assessment once PIU and staff are designated.

C. Legal Operational Policies

	Triggered?
Projects on International Waterways OP 7.50	Yes
Projects in Disputed Areas OP 7.60	No

70. **OP 7.50 is applicable to the proposed project.** With the construction of 650-750 housing units and relocation of people from flood prone areas, the existing water supply and sanitation system will be expanded, and more households will be connected to the sewage system and wastewater will be treated before being discharged to the Paraguay river, which is shared by Argentina, Bolivia, Brazil, and Paraguay. The treatment of the wastewater is responsibility of the Municipality's utility and outside the project's scope. The interventions in the park will reduce flood risks in the upstream areas while in the park water will be retained to reduce discharges downstream. The Banco de San Miguel will become more accessible to increase the ecological and recreational value to the city. Interventions will not change natural patterns of flooding or flows in the river and the Bay of Asuncion. Finally, the interventions in the historic center will include rainwater harvesting and green areas improving the hydrodynamic system and reducing flood risks. Effects of these interventions on the River Paraguay, flowing towards Argentina, are negligible with respect to quantity and flow patterns while limited positive impact is expected on quality as new settlements will be connected to waste water collection system with treatment which is outside project's scope. The interventions will not adversely affect other riparians possible water use. Thus, an exception under paragraph 7(a) of OP 7.50 has been obtained by the World Bank and riparian notifications are not required.

D. Environmental and Social

71. **The environmental risks and social risks are Substantial. The overall E&S risk for the project is Substantial.** The Project will be implemented in the Asunción Riverfront (*Bañados*) and the City's Historic Center. The Project implementation area will also include the Banco San Miguel and Bahía de Asunción Nature Reserve.



The *Bañados* is an area characterized by the lack of urban planning, thousands of families informally settled in high-risk areas. This area is home to the poorest income percentile in the city. Despite the increasing risk of flooding and extreme weather events due to climate change, the population living in *Bañados* has grown steadily over time, swelling from around 40,000 inhabitants in 1993 to more than 100,000 today. They live in poor housing, sanitation, and hygiene conditions, exacerbating their vulnerability to natural hazards and health-related events like the COVID pandemic.

72. **In terms of environmental risk, the “without-project” situation implies high environmental and health risks to residents of the riverfront of Asunción as well as continued degradation of existing green areas like Parque Caballero and Banco San Miguel and Bahía de Asunción.** The Project’s potential adverse risks or impacts on the environment are not likely to be significant; the planned interventions (e.g., resettlement housing units, small-to-medium basic infrastructure, and revitalization of degraded green areas) are not complex and do not involve environmental harming activities or foreseen modifications of natural habitats. The “with-project” situation will require modeling changes in flood risk and drainage systems, and any risk identified will be mitigated and incorporated into the green infrastructure plans. In the case of Banco San Miguel, the actions considered here will be among the first in the Management Plan soon to be approved by Ministry of the Environment and Sustainable Development and will generate biodiversity benefits in an Important Bird Area. The social risk is Substantial. The main social risks are linked to carrying out a resettlement program in different phases in a socially complex area with a background of conflict over housing solutions, managing communication and information dissemination on project activities, and potential gentrification (see Key Risks section below).

73. **The Environmental and Social risks will be mitigated through the implementation of a robust Environmental and Social Management Framework (ESMF), a Stakeholder Engagement Plan (SEP), a Resettlement Policy Framework (RPF) and Resettlement Action Plans (RAPs).** The ESMF will establish detailed requirements for site specific Environmental and Social Impact Assessments and Environmental and Social Management Plans to be prepared once the designs are defined. Social risks associated with resettlement will be also mitigated through the preparation of a RPF that will inform the preparation of specific RAPs associated with the different phases of the implementation of Components 1 and 2, and a SEP to guide stakeholder engagement activities and other measures to ensure that the most vulnerable groups are not excluded from participating and sharing the project benefits. Component 3 of the Project will also finance citizen engagement activities to ensure the involvement of project affected people and other stakeholders through participatory urban planning activities.

V. GRIEVANCE REDRESS SERVICES

74. Communities and individuals who believe that they are adversely affected by a World Bank (WB) supported project may submit complaints to existing project-level grievance redress mechanisms or the WB’s Grievance Redress Service (GRS). The GRS ensures that complaints received are promptly reviewed in order to address project-related concerns. Project affected communities and individuals may submit their complaint to the WB’s independent Inspection Panel which determines whether harm occurred, or could occur, as a result of WB non-compliance with its policies and procedures. Complaints may be submitted at any time after concerns have been brought directly to the World Bank’s attention, and Bank Management has been given an opportunity to respond. For information on how to submit complaints to the World Bank’s corporate Grievance Redress Service (GRS), please visit <http://www.worldbank.org/en/projects-operations/products-and-services/grievance-redress-service>. For information on how to submit complaints to the World Bank Inspection Panel, please visit www.inspectionpanel.org.



VI. KEY RISKS

75. **The overall risk for this Project is Substantial.** Risks rated Substantial or higher are detailed below.

76. **Institutional risk is Substantial.** Coordination and institutional capacity issues have proved problematic in previous attempts to implement urban and riverfront upgrading. Experience from previous World Bank-financed projects in Paraguay indicates that excessive turnover of counterpart officials and limited availability of technical staff of the Government may signal potential risks for ensuring consistent and coherent project implementation. The Project will bolster the leadership capacity of the PIU, as well as empower the Interinstitutional coordination body. Additionally, the technical teams that will be part of the PIU are being strengthened and will be fully capacitated once the PIU is established.

77. **Environmental and Social risks are Substantial.** The main social risks are linked to carrying out a resettlement program in a socially complex area, which will require systematic and comprehensive social management and informed consultations, fully inclusive of vulnerable groups at risks of exclusion from sharing in project benefits, to ensure equitable, transparent and efficient processes and to minimize any adverse impact on the livelihoods of the affected communities. Social risks also include potential interference generated by the socioeconomic impacts of the COVID pandemic, as well as challenges linked to crime and violence in the implementing area. Finally, there are potential risks associated with potential gentrification that could arise as infrastructure and accessibility are improved, and as the value of the land increases. To mitigate these risks, the Project will incorporate measures based on international best practice. Lessons learned that will be incorporated include for instance: (i) tenure regularization mechanisms that will allow low-income residents to remain at the Eco-Inclusive District; (ii) a strategy to gradually introduce property tax and service tariffs; (iii) land use criteria to maintain low-income housing areas, and mixed uses areas with low-income housing requirements; (iv) more efficient use of public spaces; (v) mixed income housing; and others. Sexual exploitation and Abuse and Sexual Harassment Risk is Low. The Country has a strong legal framework focused on Gender Based Violence (GBV) prevention and has a national referral pathway protocol for GBV service provision and an active GBV working group. The Project is expected to finance small and medium infrastructure works and has a low risk of labor influx since it will be fully implemented in urban areas and most of the labor force is expected to be locally recruited. These risks will be mitigated through the implementation of a robust ESMF, the preparation of RAPs based on the Project's RPF, preparation of a SEP to guide stakeholder engagement activities; and the implementation of activities under Component 3 to ensure social inclusion, participation and sharing of project benefits for all groups. In terms of environmental risk, the "without-project" situation implies high environmental and health risks to residents of the riverfront of Asunción as well as continued degradation of existing green areas like Parque Caballero, Banco San Miguel, and Bahía de Asunción. The Project's potential adverse risks or impacts on the environment are not likely to be significant; the planned interventions (e.g., resettlement housing units, small-to-medium basic infrastructure, and revitalization of degraded green areas) are not complex and do not involve environmental harming activities or foreseen modifications of natural habitats. The "with-project" situation will require modeling changes in flood risk and drainage systems, and any risk identified will be mitigated and incorporated into the green infrastructure plans. Projected interventions under Component 3 would support design and construction or rehabilitation of one small-to-medium scale public building (3 or 4 stories in height), programs for socioeconomic development and strengthening of neighborhood institutions and community-based organizations and might include some small-scale rehabilitation or construction works. Environmental risks from all three components have small to medium-scale nature, and ease of management through best-construction practices. Planned infrastructure works in the construction phase would require earth movement, trench digging, and heavy machinery mobilization, among other common construction works. Potential related risks include



primarily community and worker health and safety risks and minor pollution risks. These include potential for increased dust, noise, traffic, potential for accidents and chemical spills affecting nearby inhabitants and project workers, potential incidental damage to cultural resources, mismanagement of solid waste, potential to impact drainage and existing utility services, among the key risks.

78. **Stakeholder risk is Substantial.** The success of the planned interventions will require adequate coordination and consensus between a multitude of actors, including municipal and national government authorities, communities living in the affected areas, private sector actors, and international organizations like UNDP, IADB and CAF. The preparation process requires a formal Cooperation Agreement between the MOPC, MCA (which controls land use in Project areas), and MUVH (which has responsibilities regarding housing). The Borrower is addressing this risk by developing and implementing a thorough SEP that will include a robust grievance mechanism.



VII. RESULTS FRAMEWORK AND MONITORING

Results Framework

COUNTRY: Paraguay

Asuncion Riverfront Urban Resilience Project

Project Development Objectives(s)

The project development objectives are to improve living conditions for targeted vulnerable households and to increase resilience in selected areas in the riverfront of Asunción.

Project Development Objective Indicators

Indicator Name	PBC	Baseline	End Target
Improve living conditions for targeted vulnerable households			
People provided with improved urban living conditions (CRI, Number)		0.00	2,400.00
People provided with improved urban living conditions - Female (RMS requirement) (CRI, Number)		0.00	1,200.00
Increase resilience in selected areas in the riverfront of Asunción			
Number of vulnerable households with reduced risk of flooding in the riverfront of Asunción considering climate change impacts (Number)		0.00	700.00
Number of people with new jobs after receiving training, technical assistance, or grants (Number)		0.00	1,000.00
Percentage of whom are female (Number)		0.00	60.00
Increased use of upgraded and rehabilitated public spaces and green spaces with climate resilient design (Percentage)		0.00	50.00



Intermediate Results Indicators by Components

Indicator Name	PBC	Baseline	End Target
Component 1: Eco-Inclusive District			
Share of resettled population who report their living situation has improved (Percentage)		0.00	75.00
Share of female resettled population who report their living situation has improved (Percentage)		0.00	75.00
Recovery of Las Mercedes and Peru urban streams within the project intervention area (Yes/No)		No	Yes
Component 2: Climate Resilient Public Spaces and Green Areas			
Streets upgraded with low-carbon climate resilient design and improved green and gray infrastructure (Meter(m))		0.00	4,000.00
Walking and cycling paths to improve the accessibility of Banco San Miguel (Meter(m))		0.00	9,800.00
Component 3: Social Resilience, Local Economic Development, and Citizen Engagement			
Center for Local Economic Development and Social Innovation constructed (Yes/No)		No	Yes
Women trained in skills for labor-intensive non-traditional sectors (Number)		0.00	250.00
Share of beneficiaries who consider that design of investments subject to consultation is responsive to their needs/views (Percentage)		0.00	75.00
Share of female beneficiaries who consider that design of investments subject to consultation is responsive to their needs/views (Percentage)		0.00	75.00
Component 4: Institutional Capacity Building and Project Management for Urban Resilience			
Municipal and national government officials trained by capacity building activities (Number)		0.00	100.00



Indicator Name	PBC	Baseline	End Target
Percentage of whom are female (Percentage)		0.00	30.00
Guidelines, studies, and technical notes to promote low-carbon climate resilient urban planning (Number)		0.00	5.00

Monitoring & Evaluation Plan: PDO Indicators

Indicator Name	Definition/Description	Frequency	Datasource	Methodology for Data Collection	Responsibility for Data Collection
People provided with improved urban living conditions		Annual	Resettlement monitoring report	The PIU will be responsible for the evaluation of progress. Administrative data generated by the PIU based on the records of households that are beneficiaries of the Resettlement Action Plans associated with works under Components 1 and 2.	MOPC
People provided with improved urban living conditions - Female (RMS requirement)		Annual	Resettlement monitoring report	The PIU will be responsible for the evaluation of progress. Administrative data	MOPC



				generated by the PIU based on the records of households that are female beneficiaries of the Resettlement Action Plans associated with works under Components 1 and 2.	
Number of vulnerable households with reduced risk of flooding in the riverfront of Asunción considering climate change impacts	Number of vulnerable households with reduced risk of flooding in the Riverfront of Asuncion. Refers to areas above the 100-year return period level of the Paraguay River.	Annual	MOPC	During project implementation MOPC will monitor the number of households relocated to flood-safe areas.	MOPC
Number of people with new jobs after receiving training, technical assistance, or grants	The indicator measures the number of people that have access to formal jobs and other income generation activities, including self-employment and the implementation of other kind of entrepreneurial activities, as a product of activities financed under the Project.	Annual	MOPC and MCA records	Surveys to contractors hired under Components 1 and 2 and beneficiaries of trainings, grants or technical assistance under Component 3.	MOPC
Percentage of whom are female	The indicator measures the number of women that have access to formal jobs and other income generation activities, including self-	Annual	MOPC and MCA records	Surveys to contractors hired under Components 1 and 2 and beneficiaries of trainings, grants or	MOPC



	employment and the implementation of other kind of entrepreneurial activities, as a product of activities financed under the Project.			technical assistance under Component 3.	
Increased use of upgraded and rehabilitated public spaces and green spaces with climate resilient design	Increased number of people using the new, upgraded and rehabilitated parks, streets, and green areas intervened with a climate resilient design	Annual	MOPC records	The PIU will be responsible for the evaluation of the use of the new, upgraded, and rehabilitated project interventions through an observational survey.	MOPC

Monitoring & Evaluation Plan: Intermediate Results Indicators

Indicator Name	Definition/Description	Frequency	Datasource	Methodology for Data Collection	Responsibility for Data Collection
Share of resettled population who report their living situation has improved	The indicator measures the share of the resettled population that feel that their living conditions has improved after receiving new low-carbon climate resilient housing connected to public services.	After the completion of the resettlement process	Post-resettlement survey	To measure, the PIU will include this indicator as part of the ex-post resettlement evaluation survey.	MOPC
Share of female resettled population who report their living situation has improved	This indicator measures the share of the female resettled population that	After the completion of the	Progress reports	To measure the PIU will include this indicator as part of the ex-post	MOPC



	feel that their living conditions has improved.	resettlement process.		resettlement evaluation survey disaggregated by gender.	
Recovery of Las Mercedes and Peru urban streams within the project intervention area	This indicator measures if the Peru and Las Mercedes urban streams have been restored and integrated in the urban development plan.	Midterm and end of project	Progress reports	The progress of restored streams will be measure by the PIU. The numbers will be provided in the supervision reports and will be measured by the supervision of the project.	MOPC
Streets upgraded with low-carbon climate resilient design and improved green and gray infrastructure	The indicator measures the meters of all roads constructed, rehabilitated or upgraded under the project. Only roads that include drainage infrastructure, balancing green and gray infrastructure and accounting for expected climate change impacts, are accounted.	Annual	Progress reports	The PIU will assess the number of meters of all roads with new drainage infrastructure, following the progress of civil works. The numbers will be provided in the supervision reports and will be measured by the supervision of the project.	MOPC
Walking and cycling paths to improve the accessibility of Banco San Miguel	The indicator measures the meters of walking and cycling paths constructed to improve controlled	Annual	Progress reports	The PIU will assess the length of walking and cycling paths constructed in the area	MOPC



	accessibility of Banco San Miguel.			of the Banco de San Miguel. The number will be provided in the supervision reports and will be measured by the supervision of the project.	
Center for Local Economic Development and Social Innovation constructed	The indicator will measure the progress on the construction of the Center for Development of Employment, Entrepreneurship and Social Innovation.	Annual	Progress reports	The PIU will assess the progress of the construction of the Center and will update the Bank in the supervision reports.	MOPC
Women trained in skills for labor-intensive non-traditional sectors	The indicator will measure the number of women trained in soft and technical skills required for labor intensive non-traditional sectors (e.g. construction).	Annual	MOPC administrative data	The number will be provided through administrative data generated by the PIU.	MOPC
Share of beneficiaries who consider that design of investments subject to consultation is responsive to their needs/views	This indicator will measure the percentage of beneficiaries of new, upgraded, and rehabilitated public spaces and resettlement housing that participated in the design process and consider that the final designs respond to their needs and views.	Annual	Progress reports	The PIU will carry out participatory urban design processes together with the MCA, will prepare minutes of the different participatory activities and will prepare annual progress reports and a final report with the main findings of the	MOPC and MCA



				process, including a survey to assess the level of participants satisfaction, and how their feedback was taken into account.	
Share of female beneficiaries who consider that design of investments subject to consultation is responsive to their needs/views	This indicator will measure the percentage of female beneficiaries of new, upgraded, and rehabilitated public spaces and resettlement housing that participated in the design process and consider that the final designs respond to their needs and views.	Annual	Progress reports	The PIU will carry out participatory urban design processes together with the MCA, will prepare minutes of the different participatory activities, and will prepare annual progress reports and a final report with the main findings of the process, including a survey to assess the level of participant satisfaction, and how their feedback was taken into account.	MOPC
Municipal and national government officials trained by capacity building activities	Number of participants in capacity building events performed for the Mesa Interinstitucional.	Annual	Progress reports	The PIU will provide technical reports with a list of participants.	MOPC
Percentage of whom are female	Number of female participants in capacity building events performed	Annual	Progress reports	The PIU will provide technical reports with a list of participants.	MOPC



	for the Mesa Interinstitucional.				
Guidelines, studies, and technical notes to promote low-carbon climate resilient urban planning	Technical studies related to low-carbon climate resilient design and urban planning to improve the resilience of Asuncion.	Annual	Progress reports	The PIU will inform the revised and approved documents.	MOPC



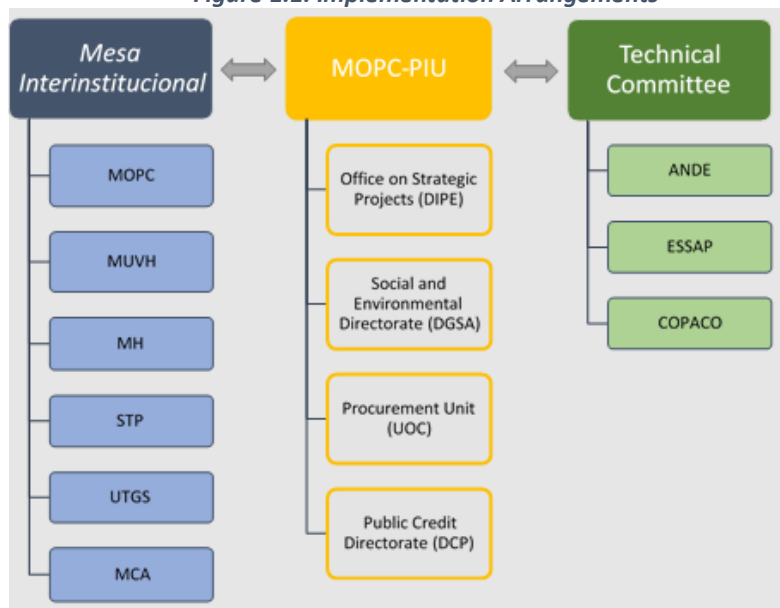
ANNEX 1: IMPLEMENTATION ARRANGEMENTS AND SUPPORT PLAN

Project institutional and implementation arrangements

1. **The MOPC will be the executing agency of this Project.** The PIU within the MOPC will have the overall responsibility for the Project and will be the main focal point with the World Bank. The PIU will coordinate project implementation with relevant MOPC directorates and divisions responsible for executing different aspects of the project, including (but not limited to):

- Office on Strategic Projects (*Dirección de Proyectos Estratégicos-DIPE*), responsible for coordination with the MOPC on strategic projects, which provide technical support.
- Social and Environmental Directorate (*Dirección de Gestión Socio Ambiental-DGSA*), responsible for overall compliance with the ESF, including assessments and plans.
- Procurement Unit (*Unidad de Contrataciones- UOC*), responsible for reviewing and processing procurement documents within the Ministry, in accordance with the functions assigned by the public procurement national law. Project procurement document will be prepared by the PIU, which will be consistent with the procurement procedures and regulations agreed in the Loan Agreement.
- Public Credit Directorate (*Dirección de Crédito Público-DCP*), responsible for Financial Management tasks of Projects financed by the World Bank and other international financial institutions.

Figure 1.1. Implementation Arrangements



2. **The MOPC will ensure that the PIU has, at all times, the necessary staff to carry out its functions, with training, experience and terms of reference acceptable to the World Bank.** The PIU will execute the following activities:



- a. Implement, coordinate and supervise the Project overall, and act as a permanent link between the MOPC and the World Bank.
- b. Coordinate with the *Mesa Interinstitucional* and other national and municipal government agencies involved in Project decision-making and implementation.
- c. Prepare the POM, instructions or guidelines needed for proper Project execution, and ensure the implementation of Procurement Regulations and processes agreed in the Loan Agreement.
- d. Prepare studies, technical reports, bidding documents, request for proposals, and bid evaluation reports; as well as manage the implementation of contracts execution.
- e. Monitor and assess project implementation and prepare progress reports of the Project, including liaising with the different departments involved in execution of activities to ensure compliance under each Project component.

3. The MCA, as the city local government has complementary responsibilities in the execution, operation, and maintenance of Project investments. The MCA has responsibilities related to:

- a. Support MOPC in the implementation of Component 3 on social resilience, local economic development, and citizen engagement and lead the involvement with local community.
- b. Verify compliance with local norms and procedures, approve adjustments to the land use zoning regulations, and administrate local cadaster and taxes.
- c. Manage the operation and maintenance of civil works once completed.

4. The MUVH, as the Ministry responsible for urban planning, habitat policies and social housing design, will collaborate in the definition and execution of the Project, in relation to:

- a. Advise in the urban development plan for the Eco-Inclusive District.
- b. Draft terms of reference for the construction of housing and community facilities.
- c. Provide the criteria and regulations for the eligibility of housing allocation.
- d. Define the criteria for urban sustainability and energy efficiency standards for housing.

5. The MOPC, MUVH and MCA agreed on a formal Cooperation Agreement to define their roles and responsibilities to support the execution of this Project. The PIU will establish a technical committee to coordinate with public utilities (electricity, telecommunications, sanitation services) and will sign a specific Cooperation Agreement with each of them. Also, the PIU will involve other areas of government necessary for the execution of specific aspects of the Project, such as the Secretary of Culture and the Secretary of Tourism (SENATUR).

6. The *Mesa Interinstitucional* will ensure the governmental coordination for the implementation of this Project in alignment with the Master Plan of the Coastline of Asuncion. The Mesa has an active representation from the national and municipal government agencies responsible for the effective implementation of the Project, including MOPC, MUVH, Ministry of Finance, STP, Social Cabinet and MCA. It will:



- a. Coordinate interventions and decision-making under long-term MPCA commitments.
- b. Share information across stakeholders, including CBOs, NGOs and the private sector.
- c. Identify opportunities for technical innovation among public and private initiatives linked to the intervention area.
- d. Help organize the support of development partners and cooperation agencies.

Financial Management

7. **The Project will make extensive use of country systems in the areas of budgeting, information systems and reporting, internal controls and audit and accounting.**

8. **Organization and Staffing.** The Project's executing agency will be the MOPC through a PIU, with the overall FM coordination and administration to be carried out by the *Dirección de Crédito Público* (Public Credit Directorate, DCP) within the MOPC. The DCP falls under the Vice-Ministry of Administration and Finances of the MOPC. The DCP has qualified FM staff who can undertake the Project's FM function. The DCP has considerable experience in managing projects financed by the Bank⁶⁵ and other international financing institutions. Within the DCP, there is not expected to be any key unfilled positions and staff turnover is minimal, with staff being hired as public or commissioned servants.

9. **Staff mapped to the DCP will always need to include an overall FM coordinator, responsible for ensuring that the Project's fiduciary obligations are met, that the Project's transactions are valid, accurate and completely captured, and acting as the main counterpart to the Bank regarding FM and disbursement issues.** If there are not enough specialized FM personnel for the tasks related to FM management of the Project, the fiduciary requirements may not be met, leading to ineligible expenditures. This risk will be mitigated by including a list of personnel assigned to the Project in the POM, and the specialized FM personnel of the DCP will be trained. In addition, additional individual fiduciary staff will be hired in the PIU/DCP under Component 4, to assist in, inter alia, managing the grants program, in addition to the entity/firm to be competitively selected for this purpose.

10. **The PIU (with the support of the DCP) will be responsible for:** (i) coordinating and supervising the Project overall; (ii) submitting disbursement requests and documentation of expenditures to the Bank; (iii) preparing and submitting IFRs and audit reports to the Bank; (iv) preparing and providing all financial documentation and Project reports/information requested by external auditors and Bank staff; and (v) preparing and updating the POM. In summary, the DCP has a suitable organizational structure to ensure responsible Project FM.

11. **Planning and Budgeting.** The MOPC's budget is determined using country budgeting processes and systems and approved as part of the Annual Budget Law approving the Budget of the Nation (*PGN-Presupuesto General de la Nación*). The Vice-Ministry of Administration and Finance through the Budget Directorate (*Dirección de Planificación Económica*) is responsible for the preparation of the MOPC's annual budget and follows a clearly defined calendar. The PIU will be responsible for preparing the Project's specific budget (and providing the

⁶⁵Paraguay Transport Connectivity Project (P147278) with satisfactory FM performance ratings, based on the most recent supervision mission conducted in May 2022. Prior to this Project, the MOPC executed the Road Maintenance Project (P082026).



information to the Budget Directorate) and will lead the planning/budgeting process for the whole Project with specific procedures to collect information from the units in charge of the different components.

12. **Monitoring and control of budget execution is carried out through reports generated by SICO, SIPP and SITE which is reviewed monthly by the MOPC's senior management.** Actual expenditures are thus compared to budgeted expenditures, with reasonable frequency, and justifications provided for variations relevant to the budget. Modifications to the budget are processed according to rules set out in the relevant statutes. Controls on spending commitments are enforced by system controls in SIAF and SITE, which ensure that spending commitments are limited only to the approved budget, and what is authorized in the Financial Plan. SIAF is safe to prevent the recording of sums that exceed the committed amount and does not allow to continue with a payment process that exceeds said value⁶⁶. All of the Project's budgeting (and accounting) transactions will be processed through SIAF.

13. **Accounting.** The MOPC will use SIAF to record Project transactions in local currency (*Guaraníes*). SIAF is not able to report independent or specific data by category, program, project and/or specific activity and the only currency used for accounting registration is the *Guaraníes*. In addition, the Government Chart of Accounts is generally not modified⁶⁷, since it is standardized in format/content. As a result, in parallel the MOPC's DCP will make use of its own accounting information software which allows for multi-currency entries (in US Dollars and *Guaraníes*) to record Project transactions on a cash basis. This accounting software is also being used in the Paraguay Transport Connectivity Project (P147278) and will need to be adjusted, to allow for the monitoring of the grants program.

14. **The DCP will be responsible for:** (i) maintaining the Project's accounts with the Chart of Accounts (that is adequate, and can be adapted to properly account for, and report on, all the Project's activities) reflecting the Project categories, components, and source of funding; and (ii) producing the requisite Project Annual Financial Statements following International Accounting Standards (IAS). The cash accounting basis will be used to maintain the Project's accounting records. The DCP will have access to the Bank's Client Connection system for up-to-date information relating to the disbursement of the proceeds of the Loan. The Project's accounting records in SIAF/separate accounting system will be reconciled monthly, together with the information in Client Connection. There are written policies and procedures covering all routine accounting and related administrative activities and only authorized persons, may change or establish new accounting principles, policies, or procedures.

15. **Internal Controls including Internal Auditing.** Project transaction processing will use MOPC's internal approval processes and systems (consistent with country systems), that provide for reasonable segregation of duties, supervision, quality control reviews and reconciliation but with areas for improvement (see below). The processes flows appear to be well understood by the MOPC's personnel. In addition, the CGR has established accountability requirements for the authorizers of expenditure, that focus on prevention of errors and irregularities.

⁶⁶According to the latest Public Expenditure and Financial Accountability (PEFA) Report issued in 2016.

⁶⁷Unless there is an official request to the DGPA, who analyzes and studies the request to incorporate or not the requested modification.



16. Through Decree 962/08, the government is in the process of implementing a standardized internal control system: *Modelo Estandar de Control Interno para las Entidades Publicas del Paraguay (MECIP)*. The MECIP is a comprehensive internal control framework based on the principles of the Committee of Sponsoring Organizations of the Treadway Commission (COSO). Each entity in the Paraguay Public Sector has performed a self-assessment using the MECIP Model. The MOPC's self-assessment (dated June 30, 2015) revealed a deficient implementation (2.7 points on a scale of 1 to 5, with 5 being the top rating). The overall score improved to 3.25 points as at December 31, 2020 before worsening slightly to 3.20 points as at December 31, 2021, with the "Implementation Controls" aspect still showing the greatest deficiency.

17. All Project transactions will be processed within SIAF, that enforces strict segregation of duties, controls the preparation and approval of transactions to ensure that these transactions are properly executed and recorded (i.e., different units or persons authorize the transaction and record the transaction), and guarantees the confidentiality, integrity and availability data. All accounting and support documents are retained on a secure basis, that allows for easy retrieval for the authorized user.

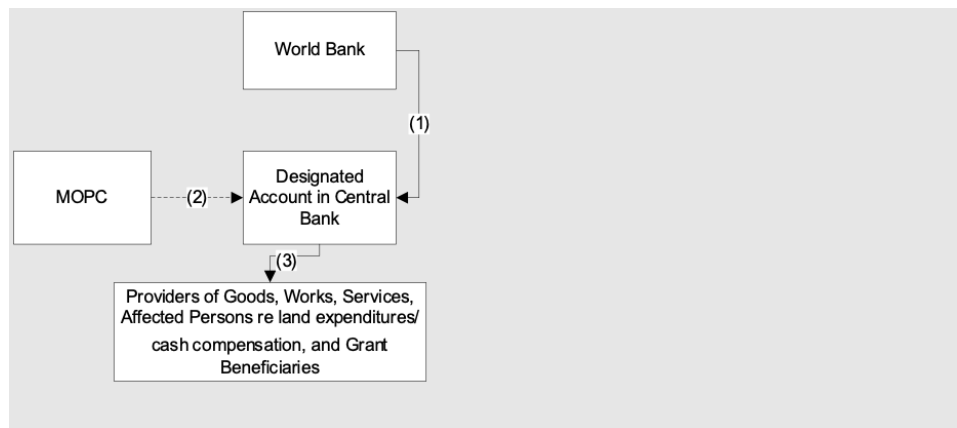
18. Law 1.535 establishes that internal audit is part of the internal control structure, that comprises the ex-ante control by public managers and the ex-post control by the Internal Audit Unit of each public institution (*Auditoria Interna Institucional – AI*) and the Comptroller General (*Auditoria General del Poder Ejecutivo-AGPE*)⁶⁸. As such the MOPC is also subject to review by its AI and the AGPE, with the Project's transactions also falling within their ambit.

19. The Project's internal control system will be documented in a Project Operational Manual (POM). The POM will comprise descriptions, flow charts, policies, templates and forms, user-friendly tools, tips and techniques to ensure that the approval and authorization controls continue to be adequate and are properly documented and followed with adequate safeguarding of the Project's assets. The POM will be prepared by the PIU and be approved by the Bank and be maintained/updated throughout the Projects' life.

20. **Flow of Funds and Disbursement Arrangements.** The primary disbursement method will be Advances. There are no Lapsed Loans. The MOPC will be also able to process Reimbursements and Direct Payments, if required.

21. The following diagram indicates the general flow of funds for the **Advance** disbursement method:

⁶⁸At the end of 2008, the mandatory use of the Unified Government Audit Manual (UGAM) was adopted, for both internal and external audit agencies of the Government, and the regulatory Decree of the LAFE was amended, incorporating the rank of minister of the Auditor General, previously granted by Decree 10.883/07, and approving the MECIP as a model to be used throughout the CA of Paraguay.



- a) Bank Loan funds will be transferred to specific segregated (i.e., to be opened specifically for the Project) Designated Account (DA) denominated in US dollars the Central Bank of Paraguay under control of the Treasury Directorate of the MF.
- b) The MOPC will prepare a “Request for Transfer” directed to the Treasury Directorate, requesting a transfer electronically to suppliers, vendors, consultants, for land expenditures/cash compensation and grant beneficiaries from the DA.
- c) Payments will be made to the payees, and processes will be registered in SIAF and the DCP’s own accounting system, and the records will be reconciled at the end of each month.
- d) The IFRs (for financial reporting purposes and not disbursement purposes) and Statement of Expenditures (SOEs) will be prepared by the DCP, with information available in SIAF and the additional accounting information system and they will be supported by the accounting records⁶⁹.
- e) The DCP staff will access the Bank’s Client Connection webpage to perform the periodic reconciliation between its own registries and the Bank’s disbursement records.

22. **The disbursement of Project funds to the MOPC will be processed in accordance with Bank procedures as stipulated in the Legal Agreement and in the Disbursement and Financial Information Letter (DFIL).** Funds will be disbursed in respect of eligible expenditures incurred or to be incurred under the Project and will be disbursed in accordance with agreed financing percentages. The MOPC’s DCP will report on the use of Advances and process Reimbursement requests, through Withdrawal Applications (WAs) supported by SOEs. Direct payments will be documented by Records. The MOPC will sign off on the WAs documenting expenditures, based only on actual expenditures, ensuring that the Loan proceeds were exclusively used for eligible expenditures.

23. **The Fixed Ceiling for the DA will be US\$15 million.** The Minimum Application Size for Direct Payment and Reimbursement Withdrawal Applications (WAs) will be US\$1 million equivalent. The frequency for the presentation of eligible expenditures paid from the DA is at least once every six months.

⁶⁹The General Conditions require the Borrower to retain all records (contracts, orders, invoices, bills, receipts, and other documents) evidencing eligible expenditures and to enable the Bank’s representatives to examine such records. They also require the records to be retained for at least one year following receipt by the Bank of the final audited financial statements required in accordance with the Legal Agreement or two years after the Closing Date, whichever is later. Borrowers are responsible for ensuring that document retention beyond the period required by the Legal Agreement complies with their government’s regulations.



24. **The Project Application Deadline Date will be four months after the Loan Closing Date.** This “Grace Period” is granted to permit the orderly Project completion and closure of the Loan Account via the submission of WAs and support documentation for expenditures incurred before the Closing Date.

25. No withdrawals shall be made for payments made prior to the date of the Legal Agreement.

Category Description	Amount Allocated (US\$)	Percentage of Expenditures to be Financed (inclusive of Taxes)
(1) Goods, works, non-consulting services, consulting services, Grants, Operating Costs and Training and Workshops for the Project	99,737,500	100%
(2) Resettlement Expenditures	5,000,000	100%
(3) Front-End Fee	262,500	100%
(4) Interest Rate Cap or Interest Rate Collar premium	0	
Total IBRD Project Costs	105,000,000	100%

26. **Grants.** The Project will make use of a special financing mechanism under Component 3.1. The non-reimbursable grants, ranging in value from US\$500 to US\$5,000, would be awarded based on an annual call for proposals. In these cases, beneficiaries will make use of the financing/grants to directly procure goods, works, and services. This scheme will operate as follows:

- The MOPC will sign a grant agreement with beneficiaries and will disburse funds to the recipient in up to three tranches, one at subproject start, with the second and third tranche conditioned on receipt of satisfactory progress reports as well as the submission of supporting documentation evidencing actual expenditures, of at least 80% of any cumulative amounts previously advanced to the recipient (a template will be included in the POM).
- A segregated local currency bank account⁷⁰ will be required to be opened/used by the beneficiary prior to receiving the first disbursement. Once the bank account is open and available, the first advance will be disbursed.
- The recipient of the grant will have to submit supporting documentation evidencing actual expenditures for all amounts spent and refund any unused funds before the subproject will be considered as “closed” from a fiduciary perspective. All subproject activities will also need to be completed before the Closing Date to be considered eligible.
- The DCP will document to, and the Bank will record the expenditure in the loan account **at the time of reporting (i.e., actual method)** using the actual expenditures incurred by the beneficiary under the grant.
- These grants will not require cash or in-kind support.

⁷⁰Based on the experience of the national government for subsidies in response to the COVID experience, funds could also be transferred to electronic wallets and accounts under other financial institutions including electronic payment entities (EMPES).



- f) The Bank will check the use of the grant for eligible expenditures during implementation support as well as ex-post subproject monitoring.

27. **The large number of grants to be executed will require extensive support and monitoring for compliance.** Consequently, the Project will hire a firm (competitively selected) to carry out the selection of beneficiaries and the monitoring and evaluation of the grants program. This firm will follow up with the beneficiaries to document expenses and will report to the MOPC monthly the details of the execution of the investments (who in turn will report the actual expenses to the Bank). The MOPC will then report to the inter-institutional working group on the progress of this program.

28. **In addition, concurrent audits of the grants will be carried out throughout the lifetime of the Project to provide the PIU with feedback and information needed to identify and mitigate any issues that may arise during implementation.** A firm acceptable to the Bank, will be hired to conduct the audit. This firm will be the same firm hired to conduct the annual financial statement audit, with the Terms of Reference for the auditors encompassing both the financial statement and concurrent grant audits. The MOPC will submit the concurrent grant audit reports, to the Bank on a semesterly basis (within 45 days after the end of each semester), flagging any potential issues. The cost of the concurrent audits will be financed from the Loan. It is expected that the MOPC will appoint the auditors within 3 months after the approval of the first grant.

29. **Financing of land expenditures, cash compensation and other assistance for involuntary resettlement.** As per Bank policy, the use of Bank financing for cash compensation and land acquisition costs was approved for an amount not expected to exceed US\$5 million. The PIU will directly pay affected people based on independent valuations determined in accordance with the methodology established in the Project's Resettlement Policy Framework and the Bank's Environmental and Social Standard on Land Acquisition, Restrictions on Land Use and Involuntary Resettlement Policy (ESS5). Once the replacement value of the land and assets has been determined an agreement will be signed between the Government of Paraguay and the asset owner. The agreement and the valuation report from the independent expert, will provide the basis for making the final agreed payment to the affected person. Funding for the compensation will be channeled to the Project's DA first. The MOPC will then prepare a "Request for Transfer" directed to the Treasury Directorate, requesting a transfer electronically to the affected persons bank account or the account of the third party from which land/house in other areas of Asuncion is acquired. In addition, to mitigate the risk of delaying the execution of funds, the MOPC should ensure the timely inclusion and annual allocation of budget to cover these expenses. The Government of Paraguay will take possession of acquired land and related assets only after compensation in accordance with ESS5 has been made available.

30. **Financial Reporting.** The MOPC will prepare and submit to the Bank semesterly IFRs, no later than 45 days after the end of each reporting period. These IFRs will be produced with information extracted from SIAF and the additional accounting information system using the cash basis.

31. **At the end of each fiscal year, the MOPC will prepare the Project's Annual Financial Statements.** The second semester IFRs with accompanying notes, will serve as the Projects' Annual Financial Statements.



32. **External Auditing.** There are no overdue audit reports and/or outstanding FM or audit issues affecting the MOPC at this moment. The external annual Financial Statement audit of the Project will be performed by a private firm⁷¹ and under Terms of Reference both acceptable to the Bank, and in accordance with International Standards on Auditing (ISAs) (issued by The International Auditing and Assurance Standards Board (IAASB) of the International Federation of Accountants (IFAC)) (or national auditing standards if, as determined by the Bank, these do not significantly depart from international standards). The audited financial statements will be prepared in accordance with accounting standards acceptable to the Bank (i.e., IPSAS or national accounting standards where, as determined by the Bank, they do not significantly depart from international standards).

33. **The audit reports (and any accompanying Management Letter) should be submitted to the Bank no more than six months after the end of each fiscal year.** The Bank will review the audit report and will periodically determine whether the audit recommendations are satisfactorily implemented. In accordance with “*The World Bank Policy on Access to Information Policy*”, upon receipt of the audited Project Annual Financial Statements, they will be made available to the public by the Bank and the Borrower, excluding the Management Letter. The cost of the Financial Statement Audit will also be financed from the Loan.

Procurement

34. **Procurement under the Project will be carried out in accordance with the World Bank’s Procurement Regulations for IPF Borrowers for Goods, Works, Non-Consulting and Consulting Services, Fourth Edition November 2020.** The Project will be subject to the World Bank’s Anticorruption Guidelines, dated October 15, 2006, revised in January 2011, and July 1, 2016. The Project will use the Systematic Tracking of Exchanges in Procurement (STEP) to plan, record, and track procurement transactions.

35. **The main procurement risks identified at this preliminary stage are:** i) the PIU’s technical capacities must be strengthened; ii) weak procurement performance of MOPC in previous Bank’s financed operations; and iii) complexity of Project design, which includes the participation and coordination of many institutions; iv) some works will require prior resettlements, and v) Local Economic Development (LED) projects through grants are foreseen under Subcomponent 3.1. A capacity assessment will be carried out once the MOPC designates the PIU and the staff responsible for Project implementation.

36. **Irrespective of the mitigation measures that may be defined in the capacity assessment, the early key measures identified to mitigate procurement risks include:** (i) an Operational Manual with procurement provisions that: a) reinforce the role of the PIU in ensuring compliance with the procedures agreed in the Loan Agreement; b) set up appropriate functions, accountabilities and internal agile procedures; c) describe the

⁷¹The execution of the budget at all levels is externally controlled by the CGR. As the Supreme Audit Institution of the country, the CGR enjoys functional and administrative independence. In 2008, the CGR obtained quality certification for its processes and in the same year adopted the UGAM in the framework of implementation of the MECIP. The audits performed are almost exclusively of a financial type and only in exceptional cases –mostly prompted by blatant reports of wrongdoing or events of public importance– are performance audits performed. With Executive authorization, public institutions can hire independent external auditors, according to their special laws and/or international treaties. Given that the CGR has no experience auditing Bank projects and the limited resources available to the CGR, a private firm will be used to conduct the Project’s Annual Financial Statement Audit.



procurement-related complaints mechanisms; d) establish the procurement procedures to be applied under LED Projects, and e) set forth the appropriate actions and controls aimed at assuring governance quality; (ii) the requirement for the Borrower to maintain during the life of the Project at least one procurement specialist experienced in World Bank procurement rules (iii) capacity building on the World Bank's Regulations for all procurement staff and overall unit to be delivered by the World Bank's procurement team, iv) the establishment of a sound mechanism to monitor and follow procurement under LED Projects, as, inter alia, a third party concurrent audit.

37. The Borrower's team will have to develop with close support from the Bank a Project Procurement Strategy for Development (PPSD) identifying the procurement arrangements that will ensure the delivery of value for money while efficiently achieving the PDO. The PPCSD will be focused on the most relevant contracts included under all components and will analyze the targeted market, the main risks that could jeopardize the procurement objectives and the subsequent mitigation measures. Based on the results of the PPCSD, the procurement arrangements for the activities to be executed during the first 18 months will have detailed in the Procurement Plan.

38. It is expected that some procurement processes will apply a National approach. In these cases, local procurement procedure and procurement documents shall be reviewed to identify any aspects that might not be applicable based on the prescriptions of the World Bank's Procurement Regulations. Competitive processes will be published through national and/or international means, depending on the market approach of each activity. The procurement notice and the contract award details will always be advertised through the National Directorate of Public Procurement (DNCP) website, irrespective of the market approach.

39. Post review of procurement activities will be conducted through annual supervision missions.

Strategy and approach for implementation support

40. The strategy for implementation support has been developed based on the Project's design and its risk profile, as well as mitigation measures required during implementation. The strategy remains a flexible tool that may be amended during Project implementation in response to the Borrower's changing needs. The MOPC has been most recently responsible for the implementation of two World Bank Transport operations. Building on past experiences, the Project has been designed to correct some observed shortfalls, while also attempting to address some challenges identified. The implementation support strategy envisages taking advantage of existing knowledge, partnerships, and experiences, and supporting further strengthening during the Project. The following section describes the implementation support plan prepared based on this strategy, and the resource requirements.

Implementation support plan and resource requirements

41. The level of technical support needed for implementation is considered substantial on the technical side, moderate on the fiduciary side, and moderate on the environmental and social sides. The World Bank team will conduct at least two implementation support missions per year, desk reviews and field visits to follow up with Project implementation. Detailed inputs from the World Bank team are outlined below.



42. **Technical.** The Bank team will include three co-TTLs specialists in urban development, water and social development who will (a) engage and guide the technical and institutional dialogue, based on known national and international best practices; (b) advise on the design of activities envisaged within Project components, including processes for the preparation of Terms of Reference, budget, and bidding documents; (c) participate in field visits to advance the dialogue with the Government and review progress; and (d) engage with the Government to enable knowledge transfer and guidance.

43. **Fiduciary.** The Bank will undertake formal and (informal and ad-hoc) supervision of the Project based on a risk profile. Formal supervision missions will involve amongst other steps: (i) the review of the IFRs; (ii) a review of the auditors' reports (both financial and grants) and follow-up on issues raised by auditors, as appropriate; (iii) the follow up on any financial reporting and disbursement issues; (iv) a discussion of FM issues with the DCP; and (v) an update of the FM risk and performance rating in the Implementation Status and Results Report (ISR).

44. **Procurement.** Implementation support will include: (i) providing training to members of the PIU and MOPC's staff involved in Procurement on the World Bank's Procurement Regulations; (ii) procurement prior review according to the Project risk rating evaluated in each ISR; (iii) annual supervision missions in the field to carry out the post-review of procurement activities; (iv) irrespective of the review modality, providing guidance and close support to the PIU on procurement procedures; and (v) monitoring of progress against the Procurement Plan.

45. **Environmental and Social Framework.** During implementation, the World Bank will (a) monitor compliance with the ESMF, the RPF, RAPs, the SEP, the Labor Management Procedures, the Environment and Social Commitment Plan, and the agreed environmental and social plans and frameworks as triggered by the Project; and (b) address concerns from the client or other stakeholders on ESF policies. Regular training to counterparts on ESF policies and continuous support will be provided by the World Bank when identified or required by the client. In addition, particular attention will be paid during Project implementation to (a) monitor implementation to ensure that benefits to and participation of the most vulnerable populations are being achieved; (b) ensure that contractors' contracts include the required environmental and social obligations and contractors comply with them; and (c) monitor the implementation of citizen engagement mechanisms.

46. **Implementation support plan.** The following implementation support plan reflects the preliminary estimates of skill requirements, timing, and resource requirements over the life of the Project. Keeping in mind the need to maintain flexibility over project activities from year to year, the implementation support plan will be reviewed periodically to ensure that it continues to meet the implementation support needs of the Project. The following table indicates the World Bank team's implementation support plan and the required skill mix and team composition.

Table 1.3 Implementation support plan

<i>Skills needed</i>	<i>No. of staff weeks (annual)</i>	<i>Number of missions</i>	<i>Comments</i>
<i>Task team leaders</i>	<i>16</i>	<i>Semiannual mission, field visits as required</i>	<i>Staff, Washington-based Staff, country office based</i>
<i>Support technical team (Urban Water and/or</i>	<i>8</i>	<i>Semiannual mission, field visits as required</i>	<i>Staff, country office and Washington-based, and</i>



<i>Social Development specialist, consultants)</i>			<i>consultants</i>
<i>Procurement specialist</i>	<i>4</i>	<i>Semiannual mission</i>	<i>Staff, country office based</i>
<i>FM specialist</i>	<i>3-4</i>	<i>Semiannual mission</i>	<i>Staff, country office-based</i>
<i>Social specialist</i>	<i>6</i>	<i>Semiannual mission, field visits as required</i>	<i>Staff, Washington-based</i>
<i>Environmental specialist</i>	<i>6</i>	<i>Semiannual mission, field visits as required</i>	<i>Staff, country office-based</i>



ANNEX 2: DETAILED PROJECT DESCRIPTION

Costs by Project Component and Subcomponent

1. **The total financing amount for this Project (US\$105 million) is part of a broader strategy for intervening along the riverfront according to the MPCA.** This section will provide a more detailed description of the location, studies, and phases for the Components and Subcomponents of this Project, additional to the information provided above.

Component 1: Eco-Inclusive District

2. **This Component addresses 35 hectares of public land owned by the MCA which are particularly vulnerable to climate change impacts including a flood-prone area and currently informally occupied by approximately 550-700 families in flood risk areas will be resettled in new housing units within the intervention site in an elevated area (> 64m MAMSL) with strong reduced flood risk (return period is > 100 years).** This area has been considered a priority for redevelopment within the MPCA for several years. The underdeveloped area is currently relatively isolated from the rest of the city, despite being bordered by important roadways. In addition to developing the area itself with resettlement low-carbon climate resilient housing and basic infrastructure, the Project will improve connectivity with surrounding neighborhoods and public assets, including Parque Caballero and Banco San Miguel (Component 2).

3. **The pre-feasibility study includes proposals for specifications for the design and land use planning for the resettlement housing within the Eco-Inclusive District, considering a diversity of families and needs, including flexible housing solutions like duplex apartments, rowhomes with patios, the option to include mixed-use commercial spaces, and floor-level units for people with mobility-related disabilities.** In connection with studies funded by the Korean Green Growth Trust Fund, the Project will conduct energy modeling of the housing construction and design. The construction of the housing units will seek IFC's EDGE (Excellence in Design for Greater Efficiencies) certification, a green building certification system that will lead to achieve at least 20 percent reductions in energy, water, and the energy used in making the building materials compared to conventional construction. The housing units will be connected to the existing water services network, which has an appropriate existing capacity to absorb the new users.

4. **The Project will be conducted in consecutive phases, all of which will include building public spaces and green areas and the resettlement process will be handled in accordance with the criteria set forth in the RPF prepared for the Project.** The beneficiaries of resettlement processes are yet to be determined based on a series of assessments including: (i) the vulnerability of the households; (ii) the hydrodynamic effects of the sector that will be in-filled to build the subsequent phases of resettlement housings (to avoid negative impacts on its surroundings); and (iii) other social dynamics that may affect the resettlement processes. Implementation of the RPF will be carried out in phases to respond to the beneficiaries' will to be relocated in the same area but will also incorporate alternatives for those who prefer to be relocated in existing houses in other areas within the AMA. This process will require systematic and comprehensive consultations and social management to provide equitable and transparent support and minimize any adverse impact on the livelihoods of the affected people. Thorough management of environmental impacts will also be necessary due to the high population density of the targeted area. The RPF will set transparent criteria for resettlement phasing and compensation alternatives (to be



financed by the Project, if applicable), as well as a participatory design process with affected communities (reflected in Component 3).

5. **The resettlement process will be handled in accordance with the criteria set forth in the RPF prepared for the Project.** The beneficiaries of resettlement processes are yet to be determined based on a series of assessments including: (i) the vulnerability of the households; (ii) the hydrodynamic effects of the sector that will be in-filled to build the subsequent phases of resettlement housings (to avoid negative impacts on its surroundings); and (iii) other social dynamics that may affect the resettlement processes. Implementation of the RPF will be carried out in phases to respond to the beneficiaries' will to be relocated in the same area but will also incorporate alternatives for those who prefer to be relocated in existing houses in other areas within the AMA. This process will require systematic and comprehensive consultations and social management to provide equitable and transparent support and minimize any adverse impact on the livelihoods of the affected people. Thorough management of environmental impacts will also be necessary due to the high population density of the targeted area. The RPF will set transparent criteria for resettlement phasing and compensation alternatives (to be financed by the Project, if applicable), as well as a participatory design process with affected communities (reflected in Component 3). The Project will also include the development and implementation of a strategy to prevent the proliferation of new informal settlements in floodable areas.

Component 2: Climate Resilient Public Spaces and Green Areas

Subcomponent 2.1: Historic Center

6. **The Historic Center of Asunción is a site that has been studied in depth and several proposals have been made over the years to revitalize it as a center for political, economic, and social activity of the city.** The interventions to be financed by this Project consider a wide range of precedents, plans and initiatives, including the Plan CHA, Caminemos by GEHL Architects, the Master Plan for the Reconversion of the Port of Asunción, the Bicycle Plan for Asunción and the AMA (AMABici) in coordination with UNDP. The proposal to develop three themed corridors of public spaces – Civic, Commercial and Ecological – to revitalize the Historic Center is based on the concept approved by the *Mesa Interinstitucional* in the October 2020 technical assistance. The Project will finance climate resilient improvements in public spaces and complete streets in all three Corridors, including raising the road at the same level as the sidewalk, traffic calming measures (like bollards to separate different mobility users), bike lanes to incentivize active mobility reducing GHG emissions, the installation of shade structures, urban street furniture (e.g. benches, trash cans, and water fountains), energy-efficient public lighting, signage, permeable surfaces, and planting of trees and native fauna to reduce climate-induced water runoff and flooding, as well as provide shade to regulate temperatures including during heatwaves. Additionally, the Project will finance improvements in the streetside water drainage system and the burying of underground cables.

7. **The Civic Corridor (11,400 sq. mt.) is intended to link sites of cultural, patrimonial, and historical significance, including the Metropolitan Cathedral, the National Congress, and public plazas with pedestrian routes.** This Corridor will begin at the Old Train Station (*Antigua Estación del Ferrocarril*), connecting it via the street Paraguayo Independiente to the new area of the Port of Asunción. The proposal includes building civic pavilions in key points to provide shade, sitting space and signage.



8. **The Commercial Corridor (5,400 sq. mt.), which passes through the main downtown commercial streets, is intended to promote local economic development.** This Corridor covers the street Calle Palma, linking Plaza Uruguay with the tourist area known as the four plazas. The proposal will install tall metal and mesh structures with climbing plants to demarcate the space and provide shade, to widen the sidewalk and expand pedestrian areas, to build permanent and temporary public seating structures, and to create an area for informal vendors to sell their wares.

9. **The Ecological Corridor (6,800 sq. mt.) creates green connections between the main plazas of the Historic Center through a network of shaded public spaces, bicycle lanes, rain gardens, and the planting of native species.** This Corridor is designed to contribute to reducing air and noise pollution, provide shade to reduce the heat island effect, and filter rainwater with permeable surfaces and nature-based solutions. The intervention will build a section of a broad circuit that connects Parque Caballero (subcomponent 2.2), passes through Avenida Costanera on the north and links up with the main plazas of the Historic Center to the south. The proposal includes rain gardens with native species, accompanied by shaded spaces for resting.

10. **In addition to the three Corridors themselves, the Project will also finance upgrades in public spaces (100,700 sq. mt.) to Plaza Uruguay and the four plazas – Plaza de los Héroes, Plaza O’leary, Plaza de los Artesanos, and Plaza de la Democracia – in the Historic Center.** This will include widening the sidewalk, raising crosswalks, installing energy-efficient public lighting, permeable surfaces, and street furniture. The four latter plazas include additional thematic elements: two historical timelines installed in the pavement in Plaza de los Héroes, new spaces for playgrounds and table games in Plaza O’leary, a kiosk design that can be offered as a more formal structure for local artisans or street vendors to sell their wares in Plaza de los Artesanos, and the historical restoration of the original structures in Plaza de la Democracia.

Subcomponent 2.2: Parque Caballero

11. **The Government prioritized the revitalization of Parque Caballero as a key project within the MPCA as part of a strategy to improve and connect green and public spaces in the city.** This subcomponent will facilitate increased use of this public space, incorporate new green areas and climate-smart nature-based solutions to climate change impact, and improve connectivity between the Historic Center and the riverfront.

12. **The upgrades to the existing 13-hectare park will install programmatic spaces for diverse users and activities, including (i) a food truck area; (ii) three small playgrounds; (iii) a skate park; (iv) a sport court; (v) open-air exercise equipment; (vi) benches and other public furniture; (vii) flexible, open and green spaces; and (viii) pedestrian walkways through the park.** At the edge of the existing section of Parque Caballero, there is a small slope (2 hectares) that divides it from the adjacent plot of vacant municipal land (4 hectares). This Project intends to unite these two areas and develop the vacant land into an extension of the existing park. The proposal to unite the existing park with the extension park across the slope includes the construction of (i) a series of pedestrian platforms, walkways, and bridges to improve pedestrian mobility and encourage non-motorized transport; (ii) an area for concessionary restaurant and/or bar services; and (iii) areas for additional water retention capacity and to mitigate flood impacts. The proposal for the 4-hectare extension park area includes building (i) urban gardens for food and plant production; (ii) flexible spaces for public fairs or community events; and (iii) an observation deck for looking out to the Bay of Asunción. Additionally, there will be the construction of a Community Science Museum financed by the private sector.



13. **Currently, around 100-150 informal housing units occupy the slope between the existing park and the proposed expansion park.** These units are at high risk of flooding and lack access to many basic services. The Project will explore alternatives for resettlement for these families, which may include relocation to new resettlement housing units in the Eco-Inclusive District (Component 1).

14. **The upgrades to Parque Caballero will be financed in three consecutive phases. The first phase will focus on investments to improve the existing park, as well as the initial preparation of the land in the extension park for gardens and nurseries.** The second phase will improve side streets and begin to consolidate the two sections of the park. The final phase will require potential resettlement of families from the slope that separates the two sections, followed by construction of the water retention laguna, the pedestrian platforms and the concessionary commercial spaces over the slope, as well as the flexible community centers in the extension park.

Subcomponent 2.3: Banco San Miguel

15. **Banco San Miguel, officially designated a nature reserve by Law 2715/05, is located in a natural flood plain between the Bay of Asunción and the Paraguay River.** It effectively functions as a natural flood zone and provides ecosystem services, serving as a key site for biodiversity and migratory birds, who have been threatened by habitat degradation.⁷² Project investments will set the stage for the long-term restoration and protection of the reserve, provide access to outdoor recreational and educational opportunities, and support the sustainable local economic activity of communities that currently utilize the area. Giving Banco San Miguel a clear function will also limit the illegal occupation of the area. All Project investments will comply with the management plan for the area, *Plan de Manejo de la Reserva Ecológica Banco San Miguel y Bahía de Asunción*, which was recently finalized in coordination with the Ministry of the Environment and Sustainable Development and the MCA. It includes zoning regulations and activities to restore and converse the area in accordance with Law 352/94.

16. **The interventions in Banco San Miguel are proposed in three phases.** The first phase would focus on constructing: (i) pedestrian walkways, lookouts and rest areas; (ii) the expanded public space on the southern border; (iii) the research and education center; (iv) the observatory and park ranger center; and (vi) improved access control points. The second phase would focus on: (i) extending the pedestrian walkways, lookouts and rest areas; (ii) constructing the new parking area; and (iii) beginning a process to restore the native vegetation. The final phase would be dedicated to longer-term ecological investments to protect the reserve through native vegetation.

17. **While there are approximately 170 informal housing units and small-scale informal agriculture and fisheries that occupy sections of Banco San Miguel, this Project does not include their resettlement.** All Project investments that require construction within Banco San Miguel will consider the safety and security of these vulnerable communities, and their participation will be encouraged in the activities considered within Component 3.

⁷²IADB (2018) "Strengthening Urban Resilience in Riverside Asunción." Available at: <http://idbdocs.iadb.org/wsdocs/getdocument.aspx?docnum=EZSHARE-518808585-6>



Component 3: Social Resilience, Local Economic Development and Citizen Engagement

18. This Component will finance activities to support local economic development (LED) through a bundled economic inclusion program, participatory design of public spaces and resettlement housing, as well as citizen engagement and social communications strategies to engage relevant stakeholders along the riverfront, including technical assistance to strengthen the stakeholders' engagement under the MPCA. LED and employment-focused activities or interventions are considered as part of a broader urban resilience strategy to make cities and regions more resilient to natural shocks and chronic stresses.⁷³ The infrastructure construction activities under Components 1 and 2 are expected to provide temporary employment opportunities during Project implementation, leading to short-run improvements in welfare. This Project will promote local hiring and a skills training program necessary for fulfilling these jobs. These activities are expected to boost the level of human capital and labor productivity, thereby increasing local employment opportunities.⁷⁴ The geographical scope of this Component extends beyond the intervention areas indicated in Components 1 and 2 and will provide support to broader riverfront communities of Asunción.

Subcomponent 3.1: Local Economic Development

19. This subcomponent will address the urgent needs of targeted vulnerable communities in selected disadvantaged neighborhoods in the riverfront of Asunción, as well as lay the foundation for medium-term economic recovery through local economic development. It will finance (i) a participatory diagnostic of post-COVID socioeconomic challenges, opportunities, and beneficiaries based on the findings of the Project's Environmental and Social Assessment and the Stakeholders Engagement Plan; (ii) the design and construction of a CEDELIS, (iii) the design and implementation of capacity building and professional training programmatic activities of the CEDELIS; (iv) the provision of grants and technical assistance to support social and economic development initiatives from CBOs MSMEs, help them formalize,⁷⁵ link to existing value chains and markets, and support the creation of new value chains where possible; and (v) the implementation of community-level social

⁷³World Bank (2020) Measuring the Impact of Urban Resilience Interventions on Local Economic Development Indicators.

⁷⁴Kluve, J., Puerto, S., Robalino D., Romero J.M., Rother F., Stöterau, J., Weidenkaff, F. & Witte, M. (2017). Interventions to Improve the Labour Market Outcomes of Youth: A Systematic Review of Training, Entrepreneurship Promotion, Employment Services, and Subsidized Employment Interventions.

⁷⁵These proposed policy actions are intended to unleash the growth potential of the informal sector's resources that represents a high proportion of the economy in the *Bañados* by promoting their transfer to the formal sector and providing better public services and social safety nets to protect vulnerable groups who remain in the informal sector. See "The Long Shadow of Informality: Challenges and Policies" (World Bank, 2021). Recognizing and supporting informal workers is identified in some literature as a required transformation for more equitable and sustainable city. Informal economic and social activities must be supported because "they not only provide livelihoods for the working poor but also supply goods and services that keep the city's formal economy running". For example, countries like Brazil, Colombia and Argentina have signed contracts with previously informal waste picker cooperatives for door-to-door waste collection. This not only supports their livelihoods but also citywide recycling and waste management, in a way that protects the environment and reduces GHG emissions (Mahendra, A., R. King, J. Du, A. Dasgupta, V. A. Beard, A. Kallergis, and K. Schalch. 2021. "Seven Transformations for More Equitable and Sustainable Cities." World Resources Report, Towards a More Equal City. Washington, DC: World Resources Institute.



and economic development activities, including those associated with social innovation⁷⁶, and/or the operation and/or maintenance of infrastructure financed under the Project.⁷⁷

20. **The families to be resettled in Components 1 and 2 will be targeted to benefit from these activities, though it is also important to note that the geographical scope of this subcomponent extends to broader riverfront communities, emphasizing engaging women,⁷⁸ people with disabilities and workers in the informal economy and other vulnerable groups.⁷⁹** The Project will prioritize activities that could generate green jobs, through the support of actions that promote the circular economy. The shift to an environmentally friendly and circular approach has potential for job creation since activities like waste collection, recycling, repair, and remanufacturing are more labor intensive. In addition, this change can help provide new opportunities to improve the quality of jobs in Asuncion and integrate workers currently in informal, low quality, low productive jobs into better jobs connected with value chains.⁸⁰

21. **Participatory Diagnostic.** The participatory diagnostic, which will take place within the first three months of the Project implementation, will include: (i) a social assessment, (ii) a “needs assessment”⁸¹ to determine local labor market trends and employer demand, assess local training providers, and determine a menu of training options; (ii) a consultation process to identify beneficiaries interests, skills and needs in terms of training; (iii) identification and characterization of all CBOs and MSMEs in the riverfront communities. .

22. **Center for Local Economic Development and Social Innovation.** Informed by the participatory diagnostic, the subcomponent will finance (i) the design and low carbon climate resilient construction of a CEDELIS; and (ii) the design and implementation of programmatic activities of the CEDELIS. The exact location of the Center along the riverfront will be determined during the participatory diagnostic. The CEDELIS will provide a range of employment and vocational education and training programs to promote access to job opportunities and social

⁷⁶This approach was also supported by the Bank in other Projects like Ethiopia’s Urban Productive Safety Nets and Jobs Project (UPSNDP) that tackles urban poverty and limited access to economic opportunities through a combination of public works and activities responsive to the diverse needs of the urban poor, including specialized social services for street children and homeless adults.

⁷⁷Labor-Intensive Public Works generate opportunities to support beneficiaries with income or wages in exchange for labor in the recovery, creation, maintenance or provision of public goods. This kind of processes has positive effects beyond the economic recovery (e.g., regular work may improve beneficiaries’ habits, behaviors and well-being -both personal and social-). In addition, this kind of Public Works set a minimum level of participation of local workforce (both skilled and unskilled), which ensure income provision to local communities. See Public Works as a Safety Net: Design, Evidence and Implementation (World Bank, 2013) available at: <https://openknowledge.worldbank.org/handle/10986/11882>. The Bank has supported this kind of approach in many countries including, *inter alia*, South Africa, Bangladesh, Papua New Guinea, and Lebanon. These kind of programs have been also successfully implemented in other countries like the United States of America and Ireland. The Project will prioritize green works (i.e., employment intensive development, restoration and maintenance of public infrastructure, community assets, natural areas and landscapes to contribute to environmental goals such as adaptation to climate change and natural disasters, environmental rehabilitation, ecosystem restoration and nature conservation).

⁷⁸This will include providing women opportunities for entrepreneurship and workforce development in traditionally male-dominated sectors, like construction.

⁷⁹Ensuring that the recovery does not leave anyone behind can reduce disparities in opportunities and outcomes and help excluded groups to realize a fair share of benefits. Including diverse perspectives and involving communities in the design of policies and investment projects by private and public sector entities that can ease implementation challenges.

⁸⁰World Bank (2021) The Circular Economy: Could it provide opportunities for greener and better jobs?

⁸¹This assessment will include climate change considerations including impacts on labor market trends, economic opportunities, and training options.



innovation activities⁸², thereby increasing human capital in riverfront communities. Programs will cover both “soft” employability skills and technical skills, including those in climate smart/climate resilient construction, related to the investments in Components 1 and 2.⁸³ These programs will include those offered by national and municipal institutions, like the Ministry of Social Development, the Ministry of Labor, Employment and Social Security, and the Ministry of Industry and Commerce (MIC). The training will be targeted to improve the skills of 1,000 beneficiaries in the *Bañados* with focus on the most excluded and vulnerable groups mentioned above, increasing the level of human capital in this area, which is expected to improve employment opportunities for workers in this area.

23. **Support to social and economic development initiatives.** The subcomponent will also finance (i) the provision of grants and technical assistance, to support economic development and social innovation initiatives of CBOs and MSMEs, help them link to existing value chains and markets (local, regional and/or national) and support the creation of new value chains where possible; and (ii) the implementation of community-driven social and economic development activities, including those associated with social innovation, and/or the operation and/or maintenance of climate smart infrastructure financed under the Project. The grants, ranging from US\$500 to US\$5,000, would be disbursed through quarterly calls for proposals and could be used for purchase of goods, services, and equipment, as well as procurement of small-scale infrastructure works.

24. **The beneficiaries of the grants will include any individual or collective productive unit that carries out economic and social innovation activities, producing goods or services in search of satisfying their needs, with a view to its insertion in the formal labor or commercial market with a low capitalization and productivity scale, whose main asset is the workforce.** The productive units may be made up of: (i) individuals (entrepreneurs, self-employed); and (ii) organizations (CBOs, MSMEs, NGOs, religious and non-religious organizations that have the category of cooperative, mutual, civil association or other associative forms established by law, and that work in the field of Social Economy). To access to the grants these productive units will need to be registered following a procedure that will be established in the Operational Manual. Once registered and selected, the PIU transfer Loan funds to the Beneficiaries and the Beneficiaries will carry out the procurement, in accordance with their proposals. The process will be detailed in the Operational Manual.

25. **Increasing access to financing for MSMEs and community development activities will help both formal and informal businesses grow and eventually formalize, resulting in an increase in employment opportunities for the residents of the *Bañados*.**⁸⁴ Access to financing could also spur the creation of new businesses and social

⁸²Social innovation activities include social practices that aim to meet social needs in a better way than the existing solutions resulting from - for example - working conditions, education, and health. These activities are created with the goal of extending and strengthening civil society. Training focused on social innovation will include, *inter alia*, planning, management and, team problem solving to address the disruptive forces and trends that affect socioeconomic dynamics. The inclusion of these kind of programs is based in best practices like *Acompañar*, *Articular*, and *Producir* Programs (Argentina), that focus on socioeconomic support to programs that address and prevent violence against women, promote care services, and economic and technical support to woman-led CBOs, respectively.

⁸³In a systematic review of youth skills training programs, Kluve et al. (2017) find that on average, skills training programs have a positive impact on the employment opportunities of young men and women. See Kluve, J., Puerto, S., Robalino D., Romero J.M., Rother F., Stöterau, J., Weidenkaff, F. & Witte, M. (2017). Interventions to Improve the Labour Market Outcomes of Youth: A Systematic Review of Training, Entrepreneurship Promotion, Employment Services, and Subsidized Employment Interventions.

⁸⁴Banerjee A., Duflo E., Glennerster R., and Kinnan C. (2015). The Miracle of Microfinance? Evidence from a Randomized Evaluation. American Economic Journal: Applied Economics, 7(1): 22-53.



innovation activities. The Government has identified several potential recipients for these grants, including informal MSMEs in fishing, recycling and solid waste management⁸⁵ in Banco San Miguel and community gardens in Parque Caballero. This subcomponent will also include technical assistance and capacity building for local CBOs, MSMEs and NGOs on topics like business formalization, business administration, and financial management.⁸⁶

Subcomponent 3.2: Participatory Urban Design

26. **This subcomponent will support the participatory design of healthy, universally accessible, gender-inclusive and low-carbon climate resilient resettlement housing⁸⁷ and public spaces.** The people living in the *Bañados* know their neighborhoods best; they can mobilize resources and ensure support for Project investments. Other potential partners of upgrading projects are civil society organizations, not-for profits, professional associations, academia, and the media. These organizations often have prior experience with the subject matter, and, at the community level, they accumulate knowledge and information which is not available in public agencies. This process will make use of varied methodologies, including, but not limited to, transect walks, focus groups, semi-structured interviews with community leaders, and Crime Prevention Through Environmental Design (CPTED) approach.

27. **Through technical assistance, this subcomponent will support the strengthening of the stakeholder's engagement under the MPCA and promote a socially inclusive citizen engagement mechanism to inform its implementation.** This technical assistance will help to guarantee the participation of residents and promote inclusion, empowerment, and social and community transformation, with special attention to vulnerable and hard to reach groups.

Component 4: Institutional Capacity Building for Urban Resilience and Project Management

28. **This Component will finance technical assistance to strengthen the capacity of national and municipal government institutions to develop the territorial and environmental planning of the AMA.** While the Project will be implemented by the MOPC, other Ministries and the MCA also have an important role to play in long-term land use planning and management along the riverfront and will also benefit from capacity building activities. This Component will include key activities to support cadaster and land management, spatial planning, and fiscal tools like land value capture. Furthermore, It will also finance several sectoral studies that the national and municipal governments identified through the *Mesa Interinstitucional* as necessary for riverfront development, which could include: (i) hydrodynamic models to assess impacts of future investments in the riverfront area to reduce flood risks and promote risk-sensitive land use planning; (ii) medium-term scenario planning for adjacent vulnerable

⁸⁵Since solid waste management can be labor intensive, it can significantly contribute towards relieving poverty. (World Bank 2007). World Bank. 2007. Community Initiatives, Urban Solid Waste Management. World Bank webpage. <http://go.worldbank.org/JE97ZQGAT0>.

⁸⁶The following topics, among others, may be addressed: (i) training in trades (with a focus on those related to the construction sector); (ii) business planning; (iii) creation and strengthening of spaces for productive local development; (iv) prevention and eradication of violence with a focus on violence against women and girls; (v) sports promotion; and (vi) cultural identity. The activities under this subcomponent will also be focused on the excluded and vulnerable groups identified by the Project.

⁸⁷In the case of resettlement housing, this process will incorporate comprehensive participation and minimize any adverse impact on the livelihoods of the affected communities. The process is expected to inform housing design and settlement layout, since those who are to be resettled and who are going to live in a site and service area will know their housing needs and preferences best. Technical staff from the PIU will work with beneficiaries to assist them with construction advice or by adapting standard plans for new houses to their preferences.



communities living in floodable areas; (iii) prefeasibility studies for strategic interventions in the Chacarita Inundable Area and Banco San Miguel; (iv) the potential for applying land value capture mechanisms; and (v) disaster risk management for the riverfront; among others. This component will be complemented funds provided by technical assistance grants, such as the Korean Green Growth Trust Fund.

29. **This Component will also finance the design of a public-private management model guide future developments in the riverfront area.** The objective is to: (i) support the long-term sustainability of Project investments as well as medium-term land and asset management in line with the MPCA; (ii) prioritize the voices and needs of populations vulnerable to climate change impacts and other socioeconomic conditions, ensuring that they benefit from riverfront development; (iii) implement strategies ensuring equitable distribution of value; and (iv) guide future urban development under low-carbon and climate resilient criteria. Project-financed activities will include analytical support for institutional design and linkages to international experiences and best practices.

30. **Successful social communication strategies and citizen engagement through online platform are important to:** (i) gain support for the Project from communities directly benefited by the Project activities and the broader public; (ii) disseminate accurate information; and (iii) ensure two-way communication to receive timely feedback. The communications campaign will include, *inter alia*, the design and implementation of mass media and social media campaigns targeted at the different stakeholders identified in the Project SEP and the implementation of citizen satisfaction surveys. During the first phase, the focus of the communications strategy will be to prepare people and to get their 'buy in' to the Project, with a focus on Project objectives, components, management, and decision making, citizen engagement mechanisms, monitoring and evaluation. Communications will shift as the Project moves through implementation, including: (i) regular briefings on progress and feedback from communities on their perceptions of progress; (ii) eligibility criteria for different aspects of the project (resettlement, housing, grants, training, etc.); (iii) how security of tenure will be achieved; (iv) types of infrastructure to be installed under Components 1 and 2; (v) location and cost to the resettlement houses; (vi) design and development of public facilities and spaces such as parks, and playgrounds; etc. The strengthening of an online platform will include (i) the purchase of ICT equipment to host the platform; (ii) training for staff from MOPC, MUVH, UGTS and MCA; and (iii) the application of innovative ICT tools like VR experiences to support participation in the design of public spaces and resettlement housing.



ANNEX 3: GENDER ACTION PLAN

1. **Paraguay has made solid progress on gender equality, achieving near parity in education and reducing teen pregnancies, and reinforcing strong legal frameworks that guarantee formal gender equality.** According to Women, Business and the Law 2021, Paraguay scores 94.4 out of 100 in the index, which is significantly higher than the regional average across Latin America and the Caribbean (80.1).⁸⁸
2. **However, the CPF highlights a continuing area of opportunity in closing the large and persistent gender gap in the labor force.** In terms of economic parity, women in Paraguay have a weaker attachment to the labor force and are more likely to be neither in employment nor in education or training. About 60 percent of women were in the workforce in 2019 compared to 85 percent of men⁸⁹. Women are significantly more likely to work informally, whether in self-employment, as informal wage workers or as unpaid family workers.⁹⁰ In urban areas, one in four women (25 percent) does not have an income of her own, compared to only 8 percent of men.⁹¹ For the employed population, gender gaps in earnings are very high -- women's monthly incomes are equivalent to only 71 percent of men's⁹² -- and their economic activity is concentrated in low-productivity and low-wage sectors. Some sectors continue to face significant imbalances in gender representation. For example, the paid workforce of the construction sector is less than 8 percent female.⁹³
3. **The large gaps in labor outcomes for men and women are persistent, showing only modest improvement during the previous period of robust growth until 2019, and they are expected to be exacerbated by the COVID pandemic.** According to UNDP, about 78 percent of women in Paraguay in the workforce are at high risk of losing their jobs or suffering an employment modification because of the pandemic, compared to 52 percent of men, largely due to women's low rate of participation in sectors like construction, transportation, storage and telecommunications and manufacturing industries. The pandemic may also lead to an increase in the income gap due to job loss and an income decrease in almost every category. Additionally, the multiplication of productive and reproductive tasks that women have assumed as a result of the pandemic has increased their working hours and has led to women being more likely to leave the workforce.⁹⁴
4. **The World Bank has recommended increasing women's access to non-traditional sectors, like construction, in Paraguay in order to address the low female participation rate, higher unemployment rates among women and the occupational segregation that channels women towards low-productivity, low-wage jobs.** Skills development programs for women in Paraguay could focus on enabling female workers in male-dominated fields, like construction, particularly for individuals with lower education levels. Vocational and technical skills training programs have proved effective in increasing labor force participation and earnings among

⁸⁸World Bank. (2021). Women, Business and the Law: Paraguay.

⁸⁹Paraguay Country Gender Scorecard, World Bank (2021)

⁹⁰Ruppert Bulmer et al. (June 2018). "Stubborn Gender Gaps in Paraguay," Jobs Group, World Bank.

⁹¹United Nations ECLAC Gender Equality Observatory for Latin America and the Caribbean. (2021) "Paraguay – Country profile." Available at <https://oig.cepal.org/en/countries/19/profile>

⁹²UN Women. (2021) "Paraguay." Available at <https://lac.unwomen.org/en/donde-estamos/paraguay>

⁹³Ruppert Bulmer et al. (June 2018). "Stubborn Gender Gaps in Paraguay," Jobs Group, World Bank.

⁹⁴UNDP Country Office Paraguay (2020) "Promoting socio-economic recovery in Paraguay Report – Economic Reactivation strategies during COVID."



female participants in Latin America. Labor training programs that promote equal gender participation have been shown to have disproportionately positive effects on outcomes for women trainees, especially in sectors with unequal representation.⁹⁵ In 2019, the Ministry of Labor, Employment and Social Security trained over 182,000 women in non-traditional employment, including operation of heavy machinery, masonry, plumbing, car and motorcycle mechanics, and driving heavy trucks.⁹⁶ This program has the potential to contribute to closing the gender gap.⁹⁷

5. **Additionally, the World Bank has indicated that support for female micro-entrepreneurs and the self-employed can increase their productivity and earnings in Paraguay.** Female entrepreneurs face obstacles in accessing capital, have lower asset endowments, and often lack collateral. Microfinance and matching grant programs to women have shown mixed results in many countries, and interventions need to be targeted carefully to produce positive impacts on business outcomes. Business plan competitions, business training programs and facilitating networking opportunities also have the potential to support female entrepreneurs in Paraguay.⁹⁸

6. **Finally, as it happens in many other main cities and metropolitan around the world⁹⁹, in Asunción there are also six issue areas in the urban built environment that combine with gender inequity mentioned above to constrain, inconvenience, and even endanger women, girls, and sexual and gender minorities of all ages and abilities.** These are the following areas:

- a) Access – using services and spaces in the public realm, free from constraints and barriers.
- b) Mobility – moving around the city safely, easily, and affordably.
- c) Safety and freedom from violence – being free from real and perceived danger in public and private spheres.
- d) Health and hygiene – leading an active lifestyle that is free from health risks in the built environment.
- e) Climate resilience – being able to prepare for, respond to, and cope with the immediate and long-term effects of disaster.
- f) Security of tenure – accessing and owning land and housing to live, work, and build wealth and agency.

Relevant Gender Gaps Addressed in Project Design

7. **This Project is designed to reduce the gender gap in labor force participation in the vulnerable communities along the Asunción riverfront.** The gap will be addressed in Component 3 of the Project, which provides employment and vocational education and training programs to promote women's access to job opportunities and social innovation activities, including workforce development opportunities for women in non-traditional sectors; and support for female entrepreneurs including access to grants, technical assistance and

⁹⁵Ruppert Bulmer et al. (June 2018). "Stubborn Gender Gaps in Paraguay," Jobs Group, World Bank.

⁹⁶Ministerio de Trabajo, empleo y seguridad social (2020) <https://www.mtess.gov.py/noticias/el-ministerio-de-trabajo-capacito-y-oriento-mas-de-180000-mujeres>

⁹⁷World Bank. (September 2020). "Diagnóstico de género en Paraguay: La Transición de la Educación al Empleo de las Mujeres." Available at: <https://documents.worldbank.org/en/publication/documents-reports/documentdetail/596061612338698751/diagnostico-de-genero-en-paraguay-la-transicion-de-la-educacion-al-empleo-en-las-mujeres>

⁹⁸Ruppert Bulmer et al. (June 2018). "Stubborn Gender Gaps in Paraguay," Jobs Group, World Bank.

⁹⁹World Bank Handbook for Gender-inclusive Urban Planning and Design. Available at: <https://www.worldbank.org/en/topic/urbandevelopment/publication/handbook-for-gender-inclusive-urban-planning-and-design>



capacity building. Support for social and economic development initiatives to strengthen local women-led community-based organizations (CBOs) and support for services they provide also offer opportunities to ensure focus on women inclusion and participation.

8. **In addition, the Project is also expected to help addressing the urban challenges mentioned above.** While Components 1 and 2 will provide access to a more accessible, connected, safe, healthy and climate resilient city through the design and development of a mix-use and inclusive riverfront area including flood-safe revitalized public space, green areas and resettlement housing; (ii) participatory urban design under subcomponent 3.2 will help to identify residents' needs and priorities and, promote universal accessibility and gender-inclusive design.

Gender Sensitive Activities and Expected Effects

9. **Subcomponent 3.1 (Local Economic Development) will emphasize engaging women** in particular by: (i) proactively engaging them in the participatory diagnostic to ensure their voices, needs and priorities are reflected and communicated clearly; (ii) recruiting women as potential staff members for the CEDELIS and ensuring equal gender representation in hiring practices; (iii) recruiting women as participants in the CEDELIS' programming, with an emphasis on engaging them in skills training for non-traditional sectors like construction, based on a needs assessment and participatory design of training opportunities; (iv) providing targeted support to women participants in CEDELIS programs during the job application process; (v) systematically following up with women participants in CEDELIS programs to ensure job retention and understand existing challenges to provide specific ongoing support; (vi) targeting women-led CBOs and MSMEs for the grants program, technical assistance and capacity building activities; (vii) giving preference to grants proposals that identify gender gaps in the area and propose clear actions to contribute to closing them; and (viii) strengthening of local community organizations that provide social innovation services that address women's needs and challenges.

10. **Subcomponent 3.2 (Participatory Urban Design), which will finance community participation activities and communication campaigns, including participatory design of public spaces and resettlement housing.** The Project is committed to ensuring equal representation of women and girls in participatory activities so that all Project investments will consider a gender perspective in their design, implementation, monitoring and evaluation. This subcomponent will be implemented following global best practice to actively include and promote the agency of women, girls, and people from vulnerable groups in planning and design decision-making processes, to combat the gendered imbalances in the built environment that prevent these groups from enjoying equal access, mobility, safety, health, climate resilience, and security of tenure to straight men.

Monitoring and Evaluation

11. **The Government has committed to the following activities to ensure disaggregated data collection and analysis:** Carry out baseline and end-line socioeconomic surveys with potential and actual beneficiaries of Project investments and of resettlement processes, which will serve to refine local data on the gender gaps identified above. Questions will include (a) participation in labor force, (b) income, (c) perceptions of living conditions, (d) perceptions of public spaces, (e) perceptions of risk of flooding and climate-related hazards, (f) participation in citizen engagement processes relevant to Project investments, and (g) perceptions of impacts of Project investments, among others. All data will be disaggregated by gender.



12. Project impacts on gender gaps will be measured by the following indicators included in the Project's Results Indicators matrix:

a. At the PDO level:

- i. People provided with improved urban living conditions - Female (Number).

b. Component level:

- ii. Number of people with a new job after receiving training, technical assistance, or grants - percentage of whom are female, with a target of 60 percent for female.
- iii. Number of women trained in non-traditional sectors, like construction (with a target of 250)
- iv. Municipal and national government officials trained by capacity building activities (percentage of whom are female, with a target of 30 percent).
- v. Share of beneficiaries who consider that design of investments subject to consultation is responsive to their needs-views – Female.
- vi. Share of resettled population who report their living situation has improved – Female.